TERM LOAN AGREEMENT

THIS TERM LOAN AGREEMENT is made and entered into on this _____ day of _____, 2026

AT Mumbai, Maharashtra, India

BETWEEN

UTKARSH SMALL FINANCE BANK LIMITED, a banking company incorporated under the Companies Act, 1956 and licensed by the Reserve Bank of India under the Banking Regulation Act, 1949, having its registered office at 5-6, Patel Marg, Mansarovar, Jaipur, Rajasthan - 302020, and branch office at _____ (hereinafter referred to as the "**Lender**" or "**Bank**", which expression shall, unless repugnant to the context or meaning thereof, include its successors and permitted assigns);

AND

MONACO LIMITED, a company incorporated under the Companies Act, 2013, having its registered office at _____, having Corporate Identity Number (CIN): _____ (hereinafter referred to as the "**Borrower**", which expression shall, unless repugnant to the context or meaning thereof, include its successors and permitted assigns).

The Lender and the Borrower are hereinafter individually referred to as a "**Party**" and collectively as the "**Parties**".

WHEREAS:

A. The Borrower has approached the Lender for availing a term loan facility of INR 5,000 Crores (Indian Rupees Five Thousand Crores Only) for the purpose of financing capital expenditure requirements;

B. The Lender, after due appraisal and evaluation of the Borrower's creditworthiness, financial position, business operations, and the security offered, has agreed to extend the term loan facility to the Borrower on the terms and conditions set forth in this Agreement;

C. The Borrower has agreed to provide security and collateral as specified in this Agreement to secure the repayment of the Loan and performance of all obligations under this Agreement;

D. The Parties now wish to record the terms and conditions governing the term loan facility in this Agreement.

NOW, THEREFORE, IN CONSIDERATION OF THE MUTUAL COVENANTS AND AGREEMENTS CONTAINED HEREIN AND FOR OTHER GOOD AND VALUABLE CONSIDERATION, THE RECEIPT AND SUFFICIENCY OF WHICH ARE HEREBY ACKNOWLEDGED, THE PARTIES AGREE AS FOLLOWS:

ARTICLE 1: DEFINITIONS AND INTERPRETATIONS

1.1 Definitions

In this Agreement, unless the context otherwise requires, the following terms shall have the meanings assigned to them below:

"Account" means the loan account opened and maintained by the Lender in the name of the Borrower for the purposes of this Agreement.

"Affiliate" means, in relation to any person, any other person directly or indirectly Controlling, Controlled by, or under common Control with such person.

"Agreement" means this Term Loan Agreement, including all Schedules, Annexures, and amendments made from time to time.

"Applicable Law" means all applicable statutes, enactments, acts of legislature or parliament, laws, ordinances, rules, bye-laws, regulations, notifications, guidelines, policies, directions, directives, and orders of any Governmental Authority, tribunal, board, court or recognized stock exchange including but not limited to the Companies Act, 2013, the Banking Regulation Act, 1949, the Reserve Bank of India Act, 1934, RBI Guidelines, FEMA, and all applicable tax laws.

"Authorized Signatory" means any person duly authorized by the Borrower to execute documents and communicate with the Lender on behalf of the Borrower.

"Base Rate" means the Bank's Base Rate as notified by the Lender from time to time in accordance with RBI guidelines.

"Board" or **"Board of Directors"** means the board of directors of the Borrower or any committee thereof duly constituted to exercise the powers of the Board.

"Borrower" means Monaco Limited and includes its successors and permitted assigns.

"Business Day" means a day (other than a Saturday, Sunday, or public holiday) on which commercial banks are open for general banking business in Mumbai, Maharashtra, India.

"Collateral" means the commercial real estate property worth INR 10,000 Crores (Indian Rupees Ten Thousand Crores Only) as more particularly described in Schedule III, which is offered as collateral security for the Loan.

"Commitment Fee" means the fee payable by the Borrower to the Lender as specified in Clause 3.4.

"Control" means the power to direct the management and policies of a person, whether through the ownership of voting securities, contract, or otherwise; and "Controlling" and "Controlled" shall be construed accordingly.

"Debt Service Coverage Ratio" or **"DSCR"** means the ratio of earnings available for debt service to total debt service (principal and interest) as calculated in accordance with Clause 9.2.

"Debt-to-Equity Ratio" means the ratio of total debt to total equity as calculated in accordance with Clause 9.1.

"Default" means an Event of Default or any event or circumstance which, with the giving of notice, lapse of time, determination of materiality, or fulfillment of any other condition, would constitute an Event of Default.

"Drawdown" means each disbursement of the Loan or any part thereof by the Lender to the Borrower in accordance with the terms of this Agreement.

"Drawdown Date" means the date on which a Drawdown is made by the Lender.

"Drawdown Notice" means a written notice given by the Borrower to the Lender requesting a Drawdown in accordance with Clause 4.3.

"Encumbrance" means any mortgage, charge (whether fixed or floating), pledge, lien, hypothecation, assignment, deed of trust, title retention, security interest, or any other encumbrance or security interest of any kind, or any other type of preferential arrangement having similar effect.

"Event of Default" means any of the events or circumstances described in Clause 10.

"Facility" or **"Loan Facility"** means the term loan facility of INR 5,000 Crores made available by the Lender to the Borrower pursuant to this Agreement.

"Financial Covenants" means the covenants set out in Clause 9.

"Financial Year" means the financial year of the Borrower commencing on 1st April and ending on 31st March of the following year.

"First Drawdown Date" means the date on which the first Drawdown under this Agreement is made.

"Governmental Authority" means any nation or government, any state or other political subdivision thereof, any entity exercising executive, legislative, judicial, regulatory, or administrative functions of or pertaining to government, including any government authority, agency, department, board, commission, or instrumentality, any court, tribunal, or arbitrator, and any self-regulatory organization.

"Guarantor" means any person who has provided a guarantee for the due performance of the Borrower's obligations under this Agreement.

"Indebtedness" means any obligation (whether present or future, actual or contingent) for the payment or repayment of money, including:

1. moneys borrowed;
2. any amount raised by acceptance under any acceptance credit facility;
3. any amount raised pursuant to any note purchase facility or the issue of bonds, notes, debentures, loan stock, or any similar instrument;
4. the amount of any liability in respect of any lease or hire purchase contract which would be treated as a finance or capital lease;
5. receivables sold or discounted (other than any receivables sold on a non-recourse basis);
6. any amount raised under any other transaction having the commercial effect of a borrowing;
7. any derivative transaction entered into and any counter-indemnity obligation in respect of a guarantee, indemnity, bond, standby or documentary letter of credit or any other instrument issued by a bank or financial institution; and
8. the amount of any liability in respect of any guarantee or indemnity for any of the items referred to above.

"INR" or **"Rs."** or **"₹"** means Indian Rupees, the lawful currency of the Republic of India.

"Installment" means each installment of principal repayment as set out in the Repayment Schedule.

"Interest" means interest calculated on the Principal Outstanding at the Interest Rate.

"Interest Coverage Ratio" means the ratio calculated in accordance with Clause 9.3.

"Interest Payment Date" means the dates specified in Clause 3.3 on which interest is payable.

"Interest Period" means each period for which interest is calculated as specified in Clause 3.3.

"Interest Rate" means the rate of interest applicable to the Loan as specified in Clause 3.1.

"Lender" or **"Bank"** means Utkarsh Small Finance Bank Limited and includes its successors and permitted assigns.

"Loan" or **"Term Loan"** means the term loan facility of INR 5,000 Crores (Indian Rupees Five Thousand Crores Only) extended by the Lender to the Borrower under this Agreement.

"Loan Amount" means INR 5,000,00,00,000 (Indian Rupees Five Thousand Crores Only).

"Loan Documents" means this Agreement and all other documents executed or delivered by the Borrower or any other person in connection with this Agreement, including security documents, guarantee documents, and any amendments or supplements thereto.

"Material Adverse Change" or **"Material Adverse Effect"** means any event, circumstance, or condition that has or could reasonably be expected to have a material adverse effect on:

1. the business, operations, property, assets, liabilities, or financial condition of the Borrower;
2. the ability of the Borrower to perform its obligations under the Loan Documents;
3. the validity or enforceability of any Loan Document; or
4. the rights and remedies of the Lender under any Loan Document or the priority or value of the Security.

"Moratorium Period" means the period specified in Clause 2.4 during which the Borrower is not required to make repayment of Principal.

"Net Worth" means the aggregate of the paid-up share capital and free reserves of the Borrower, less accumulated losses, intangible assets, and miscellaneous expenditure not written off, as appearing in the audited financial statements of the Borrower.

"Penal Interest" means the additional interest charged by the Lender in case of default as specified in Clause 3.6.

"Permitted Encumbrance" means:

1. any Encumbrance created in favor of the Lender pursuant to the Loan Documents;
2. any lien arising by operation of law and in the ordinary course of business;

3. any Encumbrance approved in writing by the Lender.

"Prepayment" means the repayment of the whole or any part of the Principal Outstanding before the scheduled Repayment Date.

"Prepayment Charges" means the charges payable by the Borrower for Prepayment as specified in Clause 5.2.

"Principal" or **"Principal Outstanding"** means the aggregate principal amount of the Loan outstanding from time to time.

"Processing Fee" means the fee payable by the Borrower to the Lender as specified in Clause 3.4.

"Purpose" means the purpose for which the Loan is granted as specified in Clause 2.2.

"RBI" means the Reserve Bank of India.

"RBI Guidelines" means the guidelines, directions, circulars, notifications, and regulations issued by the Reserve Bank of India from time to time.

"Repayment Date" means each date on which an Installment of Principal is due and payable as set out in the Repayment Schedule.

"Repayment Schedule" means the schedule of repayment of Principal as set out in Schedule I.

"Security" means all security interests created or to be created by the Borrower in favor of the Lender to secure the Loan and all other obligations under this Agreement, as more particularly described in Clause 6 and Schedule III.

"Security Documents" means all documents creating or evidencing the Security, including mortgage deeds, hypothecation deeds, pledge agreements, and charge creation documents.

"Subsidiary" means a subsidiary as defined under Section 2(87) of the Companies Act, 2013.

"Tenure" means the period of 7 (seven) years from the First Drawdown Date, being the period within which the Loan is to be fully repaid.

"Total Debt" means the aggregate of all Indebtedness of the Borrower.

1.2 Interpretation

In this Agreement, unless the context otherwise requires:

1.2.1 References to Clauses, Sub-clauses, Schedules, and Annexures are references to clauses, sub-clauses, schedules, and annexures of this Agreement.

1.2.2 The Schedules and Annexures form an integral part of this Agreement and shall have the same force and effect as if expressly set out in the body of this Agreement.

1.2.3 Headings and titles are for convenience only and shall not affect the interpretation of this Agreement.

1.2.4 Words importing the singular shall include the plural and vice versa; words importing a gender shall include every gender.

1.2.5 References to "person" include an individual, company, corporation, firm, partnership, joint venture, association, trust, unincorporated organization, Governmental Authority, or any other entity.

1.2.6 References to any statute, enactment, or statutory provision shall include:

1. that statute, enactment, or provision as amended, consolidated, re-enacted, or replaced from time to time;
2. any subordinate legislation made under the relevant statute.

1.2.7 The words "include" and "including" shall be deemed to be followed by the phrase "without limitation" or "but not limited to" whether or not they are followed by such phrase.

1.2.8 References to "writing" or "written" include any method of reproducing words in a legible and non-transitory form, including email communication.

1.2.9 Any reference to the Lender or the Borrower shall include their respective successors and permitted assigns.

1.2.10 References to any document shall be construed as references to that document as amended, supplemented, replaced, or novated from time to time.

1.2.11 Unless otherwise specified, all references to time shall be to Indian Standard Time (IST).

1.2.12 Unless otherwise specified, all references to days shall be to calendar days; provided that if any payment or action is required to be made or taken on a day which is not a Business Day, such payment or action shall be made or taken on the immediately following Business Day.

1.2.13 The rule of construction, if any, that a contract should be interpreted against the party responsible for the drafting and preparation thereof, shall not apply.

ARTICLE 2: LOAN FACILITY DETAILS

2.1 Grant of Loan Facility

Subject to the terms and conditions of this Agreement, the Lender hereby agrees to make available to the Borrower a term loan facility in an amount not exceeding INR 5,000,00,00,000 (Indian Rupees Five Thousand Crores Only).

2.2 Purpose of the Loan

The Loan shall be utilized by the Borrower solely for the following purpose:

Capital Expenditure including but not limited to:

1. Purchase of plant and machinery;
2. Construction of factory buildings and infrastructure;
3. Acquisition of capital assets;
4. Expansion and modernization of existing facilities;
5. Technology upgradation;
6. Any other capital expenditure approved by the Lender in writing.

The Borrower shall not, without the prior written consent of the Lender, utilize the Loan or any part thereof for any purpose other than the Purpose specified above.

2.3 Tenure of the Loan

The Tenure of the Loan shall be **7 (seven) years** from the First Drawdown Date. The Borrower shall repay the entire Principal Outstanding along with all accrued interest and other amounts due under this Agreement on or before the expiry of the Tenure.

2.4 Moratorium Period

The Lender hereby grants to the Borrower a moratorium period of **12 (twelve) months** from the First Drawdown Date (the "**Moratorium Period**"), during which the Borrower shall not be required to make any repayment of Principal.

Notwithstanding the Moratorium Period, the Borrower shall continue to pay interest on the Principal Outstanding during the Moratorium Period in accordance with Clause 3.3.

The repayment of Principal shall commence immediately after the expiry of the Moratorium Period in accordance with the Repayment Schedule set out in Schedule I.

2.5 Availability Period

The Loan Facility shall be available for Drawdown by the Borrower for a period of **12 (twelve) months** from the date of this Agreement (the "**Availability Period**").

Any portion of the Loan Facility not drawn down by the Borrower within the Availability Period shall automatically stand cancelled, and the Borrower shall have no right to draw down such cancelled portion thereafter unless the Lender, at its sole discretion, agrees in writing to extend the Availability Period.

2.6 Single Loan Account

The Lender shall open and maintain a single loan account in the name of the Borrower for the purposes of this Agreement. All Drawdowns, repayments, interest payments, and other transactions relating to the Loan shall be recorded in such account.

2.7 No Right to Re-borrow

This is a non-revolving term loan facility. Any amount of Principal repaid by the Borrower shall not be available for re-borrowing.

ARTICLE 3: INTEREST AND FEES

3.1 Interest Rate

The Borrower shall pay interest on the Principal Outstanding at the following rate:

Interest Rate: Base Rate + 3.50% per annum (floating rate)

The Interest Rate shall be subject to quarterly reset based on changes in the Base Rate. Any change in the Base Rate shall be automatically applicable to the Loan from the date of such change without requiring any amendment to this Agreement or any notice to the Borrower, except that the Lender shall inform the Borrower of such change in the Base Rate.

Current Base Rate: _____% per annum (as on the date of this Agreement)

Current Interest Rate: _____% per annum (Base Rate + 3.50%)

The Base Rate shall be determined by the Lender in accordance with RBI Guidelines and the Lender's internal policies. The Lender reserves the right to revise the Base Rate from time to time at its sole discretion in accordance with RBI Guidelines.

3.2 Calculation of Interest

Interest shall be calculated on the basis of actual number of days elapsed and a year of 365 days. Interest shall accrue on a daily basis on the Principal Outstanding from the date of each Drawdown until the date of full repayment of the Principal.

Formula for Interest Calculation:

Interest = (Principal Outstanding × Interest Rate × Number of Days) / 365

3.3 Interest Payment

Interest shall be payable quarterly in arrears on the following dates (each an "**Interest Payment Date**"):

1. 30th June
2. 30th September
3. 31st December
4. 31st March

If any Interest Payment Date falls on a day which is not a Business Day, the interest payment shall be made on the immediately following Business Day, and interest shall continue to accrue until the actual date of payment.

The first interest payment shall be made on the Interest Payment Date immediately following the First Drawdown Date and shall include interest accrued from the First Drawdown Date to such Interest Payment Date.

3.4 Processing Fee

The Borrower shall pay to the Lender a non-refundable processing fee of **0.50%** of the Loan Amount, amounting to INR 25,00,00,000 (Indian Rupees Twenty-Five Crores Only), plus applicable Goods and Services Tax (GST).

The Processing Fee shall be payable by the Borrower within 7 (seven) days from the date of this Agreement and in any event before the First Drawdown Date. The Processing Fee, once paid, shall not be refundable under any circumstances, whether or not the Loan is fully drawn down or utilized.

3.5 Commitment Fee

The Borrower shall pay to the Lender a commitment fee of **0.25% per annum** on the undrawn portion of the Loan Facility during the Availability Period.

The commitment fee shall be calculated on a daily basis on the undrawn portion of the Loan Facility and shall be payable quarterly in arrears on each Interest Payment Date.

Formula for Commitment Fee:

Commitment Fee = (Undrawn Amount × 0.25% × Number of Days) / 365

Where:

1. **Undrawn Amount** = Loan Amount – Total amount drawn down as on the date of calculation

The commitment fee shall cease to accrue upon the earlier of:

1. Full drawdown of the Loan Facility; or
2. Expiry or cancellation of the Availability Period.

3.6 Penal Interest

In the event of default in payment of any Installment of Principal, interest, or any other amount due under this Agreement on the due date, the Borrower shall pay penal interest at the rate of **2% per annum** over and above the applicable Interest Rate on the amount in default from the due date until the date of actual payment.

The levy of penal interest shall be without prejudice to the other rights and remedies available to the Lender under this Agreement or under Applicable Law.

Penal interest shall be calculated on a daily basis and shall be payable on demand by the Lender.

3.7 Prepayment Charges

If the Borrower prepays the whole or any part of the Principal Outstanding before the scheduled Repayment Date, the Borrower shall pay prepayment charges as follows:

Period of Prepayment	**Prepayment Charges**
Within 24 months from the First Drawdown Date	3% of the amount prepaid
After 24 months but within 48 months from the First Drawdown Date	2% of the amount prepaid
After 48 months from the First Drawdown Date	1% of the amount prepaid

Prepayment charges shall be payable at the time of prepayment along with the prepayment amount.

The Lender may, at its sole discretion, waive or reduce the prepayment charges in whole or in part.

3.8 Other Charges and Expenses

The Borrower shall pay or reimburse to the Lender on demand:

3.8.1 All costs, charges, and expenses (including legal fees, stamp duty, registration charges, valuation fees, inspection charges, and out-of-pocket expenses) incurred by the Lender in connection with:

1. Negotiation, preparation, execution, and registration of the Loan Documents;
2. Creation, perfection, and registration of Security;
3. Valuation and inspection of the Collateral;
4. Any amendment, modification, or waiver of the Loan Documents;
5. Enforcement of the Lender's rights and remedies under the Loan Documents.

3.8.2 All taxes (other than taxes on the Lender's overall net income), duties, levies, imposts, and other charges imposed by any Governmental Authority on or in relation to the Loan, the Loan Documents, or any payment made under the Loan Documents.

3.8.3 Any costs incurred by the Lender in preserving or protecting the Security or the Collateral.

3.9 Taxes

All payments to be made by the Borrower under this Agreement shall be made free and clear of and without deduction for or on account of any taxes, duties, levies, imposts, or other charges of whatever nature imposed by any Governmental Authority, unless the Borrower is required by law to make such deduction.

If the Borrower is required by law to make any deduction or withholding from any payment due to the Lender, the Borrower shall:

1. Pay the full amount required to be deducted or withheld to the relevant Governmental Authority within the time allowed;
2. Increase the payment to the Lender to the extent necessary to ensure that the Lender receives a net amount equal to the full amount which it would have received had no such deduction or withholding been required;
3. Provide to the Lender evidence of the payment made to the Governmental Authority.

3.10 Payment Method

All payments under this Agreement shall be made by the Borrower to the Lender by way of:

1. Direct credit to the Lender's account; or
2. RTGS/NEFT transfer; or
3. Demand draft or banker's cheque in favor of the Lender; or
4. Any other method as may be specified by the Lender.

Lender's Account Details:

Account Name: Utkarsh Small Finance Bank Limited

Account Number: _____

Bank Name: _____

Branch: _____

IFSC Code: _____

All payments shall be made in immediately available funds and shall be received by the Lender not later than 2:00 PM (IST) on the due date. Any payment received after 2:00 PM (IST) shall be deemed to have been received on the next Business Day.

ARTICLE 4: DRAWDOWN CONDITIONS

4.1 Conditions Precedent to First Drawdown

The obligation of the Lender to make the first Drawdown under this Agreement is subject to the fulfillment of the following conditions precedent to the satisfaction of the Lender:

4.1.1 **Loan Documents:** The Borrower shall have executed and delivered to the Lender this Agreement and all other Loan Documents duly executed by the Borrower and all other relevant parties.

4.1.2 **Board Resolution:** The Borrower shall have delivered to the Lender a certified copy of the resolution of the Board of Directors of the Borrower:

1. Approving the execution of the Loan Documents and the borrowing of the Loan;
2. Authorizing specified persons to execute the Loan Documents and to do all acts and things necessary in connection therewith;
3. Approving the creation of Security in favor of the Lender.

4.1.3 **Shareholders' Resolution:** If required under the articles of association of the Borrower or under Applicable Law, the Borrower shall have delivered to the Lender a

certified copy of the resolution of the shareholders of the Borrower approving the borrowing of the Loan and the creation of Security.

4.1.4 **Certificate of Incorporation and Articles:** The Borrower shall have delivered to the Lender certified copies of:

1. Certificate of Incorporation;
2. Memorandum and Articles of Association;
3. Certificate of Commencement of Business (if applicable).

4.1.5 **PAN and GST Registration:** The Borrower shall have delivered to the Lender copies of:

1. Permanent Account Number (PAN) card;
2. Goods and Services Tax (GST) registration certificate.

4.1.6 **Financial Statements:** The Borrower shall have delivered to the Lender:

1. Audited financial statements for the last 3 (three) Financial Years;
2. Latest available unaudited financial statements (if the audited financial statements for the latest Financial Year are not available);
3. Projected financial statements for the next 3 (three) Financial Years.

4.1.7 **Security Documents:** The Borrower shall have executed and delivered to the Lender all Security Documents duly executed and stamped, and shall have taken all steps necessary for the creation, perfection, and registration of the Security, including:

1. Mortgage deed in respect of the Collateral;
2. Filing of charge creation forms with the Registrar of Companies;
3. Registration of mortgage with the appropriate authorities;
4. Delivery of original title deeds and documents relating to the Collateral.

4.1.8 **Title Documents:** The Borrower shall have delivered to the Lender:

1. Original title deeds and documents in respect of the Collateral;
2. Title search report from an approved advocate confirming clear and marketable title;

3. Encumbrance certificate showing no encumbrances on the Collateral (except Permitted Encumbrances);
4. Latest tax receipts and utility bills in respect of the Collateral.

4.1.9 **Valuation Report:** The Borrower shall have delivered to the Lender a valuation report in respect of the Collateral from an approved valuer, confirming that the value of the Collateral is not less than INR 10,000 Crores.

4.1.10 **Insurance:** The Borrower shall have insured the Collateral against all insurable risks for the full insurable value and shall have delivered to the Lender:

1. Original insurance policies;
2. Endorsement in favor of the Lender as loss payee/mortgagee;
3. Premium payment receipts.

4.1.11 **Legal Opinions:** The Borrower shall have delivered to the Lender legal opinions from the Borrower's legal counsel, in form and substance satisfactory to the Lender, confirming:

1. Due incorporation and valid existence of the Borrower;
2. Corporate authority and capacity to enter into the Loan Documents;
3. Validity and enforceability of the Loan Documents;
4. No violation of any Applicable Law or the Borrower's constitutional documents;
5. No requirement for any governmental or regulatory approval (or if required, that such approvals have been obtained).

4.1.12 **Compliance Certificates:** The Borrower shall have delivered to the Lender certificates from the Borrower's authorized signatory confirming:

1. Compliance with all Applicable Laws;
2. No pending or threatened litigation that could have a Material Adverse Effect;
3. No Default or Event of Default has occurred;
4. All representations and warranties are true and correct.

4.1.13 **Know Your Customer (KYC) Documents:** The Borrower shall have submitted all KYC documents as required by the Lender in accordance with RBI Guidelines and the Lender's internal policies, including:

1. Identity and address proof of directors and authorized signatories;

2. Photographs of directors and authorized signatories;
3. Specimen signatures of authorized signatories.

4.1.14 **Processing Fee:** The Borrower shall have paid the Processing Fee and all other fees and charges payable before the First Drawdown Date.

4.1.15 **Guarantees:** If required by the Lender, the Borrower shall have delivered to the Lender personal or corporate guarantees from the promoters, directors, or group companies of the Borrower, duly executed and stamped.

4.1.16 **Sanction Letter:** The Borrower shall have accepted the terms and conditions of the Lender's sanction letter by signing and returning the duplicate copy to the Lender.

4.1.17 **Other Documents:** The Borrower shall have delivered to the Lender such other documents, certificates, opinions, and information as the Lender may reasonably require.

4.2 Conditions Precedent to Subsequent Drawdowns

The obligation of the Lender to make any subsequent Drawdown (after the first Drawdown) is subject to the fulfillment of the following conditions precedent to the satisfaction of the Lender:

4.2.1 The representations and warranties set out in Clause 7 shall be true and correct on the proposed Drawdown Date as if made on such date.

4.2.2 No Default or Event of Default shall have occurred and be continuing, or would result from the proposed Drawdown.

4.2.3 The Borrower shall have complied with all covenants set out in Clause 8 and Clause 9.

4.2.4 There shall have been no Material Adverse Change since the date of the last Drawdown.

4.2.5 The Borrower shall have submitted a Drawdown Notice in accordance with Clause 4.3.

4.2.6 The Borrower shall have submitted to the Lender evidence of utilization of the previous Drawdown(s) for the Purpose, including invoices, bills, payment receipts, and any other documents as may be required by the Lender.

4.2.7 The Borrower shall have submitted updated financial statements and such other financial information as may be required by the Lender.

4.2.8 All Security shall continue to be valid, enforceable, and in full force and effect.

4.2.9 The Borrower shall have paid all amounts due and payable to the Lender under this Agreement.

4.2.10 The proposed Drawdown shall be within the Availability Period.

4.3 Drawdown Notice and Procedure

4.3.1 The Borrower shall give to the Lender a written notice (the "**Drawdown Notice**") requesting a Drawdown not less than **5 (five) Business Days** prior to the proposed Drawdown Date.

4.3.2 The Drawdown Notice shall be in the form set out in Annexure A and shall specify:

1. The amount of the proposed Drawdown (which shall not be less than INR 50 Crores);
2. The proposed Drawdown Date;
3. The purpose for which the Drawdown is required;
4. Details of the account to which the Drawdown amount is to be credited.

4.3.3 The Drawdown Notice, once given, shall be irrevocable unless the Lender consents in writing to its revocation.

4.3.4 Upon receipt of the Drawdown Notice, the Lender shall verify whether all conditions precedent to the proposed Drawdown have been fulfilled. If the Lender is satisfied that all conditions have been fulfilled, the Lender shall make the Drawdown on the proposed Drawdown Date by crediting the amount to the account specified by the Borrower.

4.3.5 If any condition precedent to the proposed Drawdown has not been fulfilled to the satisfaction of the Lender, the Lender may, at its sole discretion:

1. Refuse to make the Drawdown; or
2. Make the Drawdown subject to such additional conditions as the Lender may specify.

4.3.6 The Lender shall not be obliged to make any Drawdown if:

1. The aggregate amount of all Drawdowns (including the proposed Drawdown) would exceed the Loan Amount;
2. The proposed Drawdown Date falls outside the Availability Period;
3. Any Default or Event of Default has occurred and is continuing.

4.3.7 Each Drawdown shall be deemed to be a representation and warranty by the Borrower that all conditions precedent to such Drawdown have been fulfilled and that all representations and warranties set out in Clause 7 are true and correct as of the Drawdown Date.

4.4 Disbursement

The Lender shall disburse the Drawdown amount by crediting it to the account specified by the Borrower in the Drawdown Notice. The Borrower hereby authorizes the Lender to directly pay to the suppliers, contractors, or vendors on behalf of the Borrower if the Lender, at its sole discretion, deems it necessary.

The Lender may, at its sole discretion, disburse the Drawdown amount in stages or tranches based on the progress of the capital expenditure and subject to submission of satisfactory evidence of utilization of previous disbursements.

ARTICLE 5: REPAYMENT TERMS

5.1 Repayment Schedule

The Borrower shall repay the Principal Outstanding in **24 (twenty-four) equal quarterly installments** commencing from the end of the Moratorium Period, as per the Repayment Schedule set out in Schedule I.

Each Installment shall be payable on the following dates (each a "**Repayment Date**"):

1. 30th June
2. 30th September
3. 31st December
4. 31st March

If any Repayment Date falls on a day which is not a Business Day, the repayment shall be made on the immediately following Business Day without any adjustment to the amount payable.

The first Installment shall be payable on the Repayment Date immediately following the expiry of the Moratorium Period.

Amount of Each Installment:

Each quarterly Installment = Principal Outstanding at the end of Moratorium Period ÷ 24

The Borrower shall ensure that sufficient funds are available in its account for debiting by the Lender on each Repayment Date. The Borrower hereby authorizes the Lender to debit its account maintained with the Lender or any other bank for the amount due on each Repayment Date.

5.2 Prepayment

5.2.1 The Borrower may, at any time after giving not less than **30 (thirty) days'** prior written notice to the Lender, prepay the whole or any part of the Principal Outstanding (in multiples of INR 10 Crores), subject to:

1. Payment of prepayment charges as specified in Clause 3.7;
2. Payment of all accrued interest up to the date of prepayment;
3. Payment of any other amounts due and payable to the Lender under this Agreement.

5.2.2 Any partial prepayment shall be applied towards the reduction of the outstanding Installments in the inverse order of maturity (i.e., last Installment first), unless the Lender agrees otherwise in writing.

5.2.3 Upon receipt of full prepayment of the Principal Outstanding along with all accrued interest and other amounts due under this Agreement, the Lender shall:

1. Issue a no-dues certificate to the Borrower;
2. Release and discharge all Security created in favor of the Lender;
3. Return all original documents held as security.

5.2.4 The Borrower's right to prepay shall be subject to compliance with all terms and conditions of this Agreement and shall not relieve the Borrower from any liability for breach of any covenant or obligation under this Agreement prior to the date of prepayment.

5.3 Mandatory Prepayment

The Borrower shall immediately prepay the whole or a proportionate part of the Principal Outstanding (as determined by the Lender) upon the occurrence of any of the following events:

5.3.1 **Sale of Assets:** If the Borrower sells, transfers, or otherwise disposes of any of its assets (other than in the ordinary course of business) having a value exceeding INR 100 Crores in any Financial Year.

5.3.2 **Insurance Proceeds:** If the Borrower receives any insurance proceeds exceeding INR 50 Crores in respect of loss or damage to any of its assets.

5.3.3 **Change of Control:** If there is any change in the Control of the Borrower without the prior written consent of the Lender.

5.3.4 **Merger or Amalgamation:** If the Borrower enters into any merger, amalgamation, or reconstruction without the prior written consent of the Lender.

5.3.5 **Delisting:** If the shares of the Borrower are delisted from any recognized stock exchange where they are listed.

5.3.6 **Material Litigation:** If any litigation, arbitration, or administrative proceeding is commenced against the Borrower which, in the opinion of the Lender, could have a Material Adverse Effect.

No prepayment charges shall be levied on mandatory prepayments made pursuant to this Clause 5.3.

5.4 Application of Payments

All payments received by the Lender from the Borrower shall be applied in the following order of priority:

5.4.1 First, towards all costs, charges, and expenses (including legal fees) incurred by the Lender;

5.4.2 Second, towards penal interest (if any);

5.4.3 Third, towards accrued and unpaid interest;

5.4.4 Fourth, towards Principal Outstanding;

5.4.5 Fifth, towards any other amounts due and payable under this Agreement.

The Lender may, at its sole discretion, vary the above order of application.

5.5 No Set-off

All payments to be made by the Borrower under this Agreement shall be made in full without any set-off, counterclaim, deduction, or withholding of any nature (except as required by law).

5.6 Final Payment

On the final Repayment Date, the Borrower shall pay to the Lender:

1. The last Installment of Principal;
2. All accrued and unpaid interest;
3. All other amounts due and payable under this Agreement.

Upon receipt of all amounts due under this Agreement, the Lender shall issue a no-dues certificate and release all Security.

ARTICLE 6: SECURITY AND COLLATERAL

6.1 Security

As security for the due and punctual payment of all amounts payable by the Borrower under this Agreement and the performance of all obligations of the Borrower under the Loan Documents, the Borrower shall create and provide to the Lender the following security:

6.2 Primary Security

6.2.1 **First Charge on Collateral:** A first and exclusive charge by way of mortgage over the commercial real estate property worth INR 10,000 Crores (Indian Rupees Ten Thousand Crores Only) as more particularly described in Schedule III (the "**Collateral**").

6.2.2 The mortgage shall be created by way of registered mortgage deed in the form approved by the Lender and shall be registered with the appropriate Sub-Registrar of Assurances.

6.2.3 The Borrower shall deliver to the Lender all original title deeds and documents relating to the Collateral, including:

1. Sale deeds, conveyance deeds, or title deeds;
2. Approved building plans and completion certificates;
3. Occupancy certificates;
4. Property tax receipts;
5. Encumbrance certificates;
6. Any other documents as may be required by the Lender.

6.3 Collateral Security

In addition to the primary security, the Borrower shall provide the following collateral security:

6.3.1 **Hypothecation of Movable Assets:** Hypothecation of all movable assets acquired or to be acquired out of the Loan, including plant and machinery, equipment, furniture, fixtures, and other movable assets, both present and future.

6.3.2 **Charge on Book Debts:** A first charge on all book debts, receivables, and other current assets of the Borrower, both present and future.

6.3.3 **Assignment of Insurance:** Assignment of all insurance policies relating to the Collateral and the assets hypothecated to the Lender, with the Lender named as loss payee/mortgagee.

6.4 Personal/Corporate Guarantees

The Borrower shall procure personal or corporate guarantees from the following persons/entities as may be required by the Lender:

1. Promoters and directors of the Borrower;
2. Holding company or group companies of the Borrower;
3. Any other person or entity as may be specified by the Lender.

The guarantees shall be in the form approved by the Lender and shall be duly executed and stamped.

6.5 Charge Creation and Perfection

6.5.1 The Borrower shall, at its own cost and expense, take all steps necessary for the creation, perfection, and registration of the Security, including:

1. Execution of mortgage deeds, hypothecation deeds, and other security documents;
2. Filing of Form CHG-1 (or such other form as may be applicable) with the Registrar of Companies within 30 days of creation of charge;
3. Registration of mortgage with the appropriate Sub-Registrar;
4. Payment of stamp duty and registration charges;
5. Obtaining endorsement on insurance policies in favor of the Lender.

6.5.2 The Borrower shall deliver to the Lender:

1. Certified copy of Form CHG-1 along with acknowledgment from the Registrar of Companies;
2. Registered mortgage deed;

3. Original insurance policies with endorsement in favor of the Lender;
4. Any other documents evidencing creation and perfection of Security.

6.5.3 The Borrower shall ensure that the Security created in favor of the Lender ranks in priority over all other Encumbrances (except Permitted Encumbrances).

6.6 Maintenance and Insurance of Collateral

6.6.1 The Borrower shall, at its own cost and expense:

1. Maintain the Collateral in good condition and repair;
2. Not make any structural alterations or modifications to the Collateral without the prior written consent of the Lender;
3. Comply with all laws, regulations, and requirements of Governmental Authorities relating to the Collateral;
4. Pay all taxes, rates, charges, and outgoings in respect of the Collateral on or before the due dates;
5. Not create any Encumbrance on the Collateral (except Permitted Encumbrances) without the prior written consent of the Lender.

6.6.2 The Borrower shall insure and keep insured the Collateral and all assets hypothecated to the Lender against all insurable risks (including fire, earthquake, flood, riot, terrorism, and such other risks as may be required by the Lender) for the full insurable value with insurance companies approved by the Lender.

6.6.3 All insurance policies shall:

1. Be in the joint names of the Borrower and the Lender or shall have the Lender endorsed as loss payee/mortgagee;
2. Contain a clause that the insurance company shall not cancel or modify the policy without giving at least 30 days' prior written notice to the Lender;
3. Provide that all insurance proceeds shall be payable to the Lender.

6.6.4 The Borrower shall:

1. Pay all insurance premiums on or before the due dates;
2. Deliver to the Lender original insurance policies along with premium payment receipts;

3. Renew all insurance policies not less than 15 days before the expiry date;
4. Deliver to the Lender renewed insurance policies along with premium payment receipts immediately upon renewal.

6.6.5 If the Borrower fails to insure or renew any insurance policy, the Lender may (but shall not be obliged to) effect such insurance or renewal, and all costs and expenses incurred by the Lender shall be immediately payable by the Borrower to the Lender on demand.

6.6.6 In the event of any loss or damage to the Collateral or the hypothecated assets, the Borrower shall immediately notify the Lender and shall take all steps necessary to lodge and pursue the insurance claim. All insurance proceeds shall be paid to the Lender and shall be applied towards:

1. Reinstatement or repair of the damaged property (if the Lender so decides); or
2. Prepayment of the Loan (if the Lender so decides).

6.7 Valuation and Inspection

6.7.1 The Borrower shall, at the request of the Lender and at the Borrower's cost, procure valuation of the Collateral and the hypothecated assets from valuers approved by the Lender at such intervals as may be specified by the Lender (but not more frequently than once in every 12 months unless an Event of Default has occurred).

6.7.2 The Borrower shall permit the Lender and its authorized representatives to inspect the Collateral and the hypothecated assets at all reasonable times and shall provide all assistance and information as may be required by the Lender for such inspection.

6.8 Application of Security Proceeds

All proceeds realized from the enforcement of Security shall be applied by the Lender in the order of priority set out in Clause 5.4.

6.9 Release of Security

The Lender shall release and discharge the Security only upon:

1. Full repayment of the Principal Outstanding;
2. Payment of all accrued interest;
3. Payment of all other amounts due and payable under this Agreement;
4. Receipt of a written request from the Borrower for release of Security;
5. Fulfillment of all obligations of the Borrower under the Loan Documents.

Upon release of Security, the Lender shall:

1. Execute all documents necessary for discharge of mortgage and cancellation of charges;
2. File Form CHG-4 (or such other form as may be applicable) with the Registrar of Companies;
3. Return all original title deeds and documents to the Borrower.

All costs and expenses incurred in connection with the release of Security shall be borne by the Borrower.

ARTICLE 7: REPRESENTATIONS AND WARRANTIES

The Borrower represents and warrants to the Lender that:

7.1 Corporate Status and Authority

7.1.1 The Borrower is a company duly incorporated, validly existing, and in good standing under the laws of India.

7.1.2 The Borrower has full corporate power and authority to own its properties and assets and to carry on its business as currently conducted.

7.1.3 The Borrower has full corporate power and authority to execute, deliver, and perform its obligations under the Loan Documents.

7.1.4 The execution, delivery, and performance of the Loan Documents have been duly authorized by all necessary corporate action on the part of the Borrower.

7.2 Validity and Enforceability

7.2.1 The Loan Documents, when executed and delivered, will constitute legal, valid, and binding obligations of the Borrower, enforceable against the Borrower in accordance with their terms.

7.2.2 The execution, delivery, and performance of the Loan Documents do not and will not:

1. Violate any provision of the Borrower's Memorandum and Articles of Association;
2. Violate any Applicable Law;
3. Conflict with or result in a breach of any agreement or instrument to which the Borrower is a party or by which it is bound;

4. Result in the creation of any Encumbrance on any of the Borrower's assets (except as contemplated by the Loan Documents).

7.3 Approvals and Consents

7.3.1 All authorizations, approvals, consents, licenses, exemptions, filings, registrations, and other requirements of any Governmental Authority or any other person required in connection with the execution, delivery, and performance of the Loan Documents have been obtained or made and are in full force and effect.

7.3.2 No authorization, approval, consent, license, exemption, filing, registration, or other requirement of any Governmental Authority or any other person is required for the creation, perfection, or enforcement of the Security.

7.4 Financial Condition

7.4.1 The audited financial statements of the Borrower for the last 3 (three) Financial Years delivered to the Lender have been prepared in accordance with Indian Accounting Standards (Ind AS) and present fairly and accurately the financial condition and results of operations of the Borrower as at the dates and for the periods covered thereby.

7.4.2 Since the date of the latest financial statements delivered to the Lender, there has been no Material Adverse Change in the business, operations, property, assets, liabilities, or financial condition of the Borrower.

7.4.3 The Borrower has no material contingent liabilities or off-balance sheet obligations except as disclosed in the financial statements or in writing to the Lender.

7.5 Litigation

7.5.1 There are no actions, suits, proceedings, or investigations pending or, to the knowledge of the Borrower, threatened against the Borrower before any court, tribunal, arbitrator, or Governmental Authority that could have a Material Adverse Effect.

7.5.2 The Borrower is not in default with respect to any order, writ, injunction, decree, or judgment of any court, tribunal, or Governmental Authority.

7.6 Compliance with Laws

7.6.1 The Borrower is in compliance with all Applicable Laws.

7.6.2 The Borrower has obtained all licenses, permits, approvals, and authorizations required for the conduct of its business and such licenses, permits, approvals, and authorizations are in full force and effect.

7.6.3 The Borrower is not in breach of any Applicable Law, the breach of which could have a Material Adverse Effect.

7.7 Taxes

7.7.1 The Borrower has filed all tax returns and reports required to be filed by it and has paid all taxes, assessments, and other governmental charges due and payable by it.

7.7.2 There are no tax claims, audits, or investigations pending or, to the knowledge of the Borrower, threatened against the Borrower.

7.7.3 The Borrower has not received any notice of assessment or demand from any tax authority which remains unpaid or disputed.

7.8 Ownership of Assets

7.8.1 The Borrower has good and marketable title to all its properties and assets (including the Collateral), free from all Encumbrances except Permitted Encumbrances.

7.8.2 All properties and assets of the Borrower are in good condition and repair and are suitable for the purposes for which they are used.

7.9 Indebtedness

7.9.1 Schedule II sets forth a complete and accurate list of all Indebtedness of the Borrower as at the date of this Agreement.

7.9.2 The Borrower is not in default under any agreement relating to any Indebtedness.

7.9.3 No event has occurred which, with the giving of notice, lapse of time, or fulfillment of any other condition, would constitute a default under any agreement relating to any Indebtedness.

7.10 Security

7.10.1 The Security Documents, when executed and delivered, will create valid, perfected, and enforceable first-ranking security interests in favor of the Lender over the assets charged thereby.

7.10.2 The Collateral is free from all Encumbrances except Permitted Encumbrances.

7.10.3 The Borrower has delivered to the Lender all original title deeds and documents relating to the Collateral.

7.11 Information

7.11.1 All information, documents, certificates, and statements furnished by the Borrower to the Lender in connection with this Agreement are true, accurate, and complete in all material respects.

7.11.2 There is no fact or circumstance known to the Borrower which has not been disclosed to the Lender and which could have a Material Adverse Effect.

7.12 No Default

7.12.1 No Default or Event of Default has occurred and is continuing.

7.12.2 No event has occurred which, with the giving of notice, lapse of time, or fulfillment of any other condition, would constitute a Default or Event of Default.

7.13 Use of Proceeds

The Borrower shall use the proceeds of the Loan solely for the Purpose and not for any other purpose.

7.14 Environmental Compliance

7.14.1 The Borrower is in compliance with all environmental laws and regulations applicable to its business and operations.

7.14.2 The Borrower has obtained all environmental clearances, consents, and approvals required for its business and operations.

7.14.3 There are no environmental claims, liabilities, or investigations pending or, to the knowledge of the Borrower, threatened against the Borrower.

7.15 Repetition of Representations and Warranties

The representations and warranties set out in this Clause 7 shall be deemed to be repeated on each Drawdown Date and on each Interest Payment Date and Repayment Date with reference to the facts and circumstances then existing.

ARTICLE 8: COVENANTS

The Borrower covenants and undertakes to the Lender that, so long as any amount remains outstanding under this Agreement, the Borrower shall comply with the following covenants:

8.1 Affirmative Covenants

The Borrower shall:

8.1.1 **Financial Statements and Information:**

(a) Deliver to the Lender:

1. Audited financial statements (including balance sheet, profit and loss account, cash flow statement, and notes to accounts) within 90 days of the end of each Financial Year, duly certified by the statutory auditors;
2. Unaudited quarterly financial statements within 45 days of the end of each quarter;
3. Annual report and annual return filed with the Registrar of Companies;
4. Management accounts and management information system (MIS) reports on a monthly basis within 15 days of the end of each month.

(b) The financial statements shall be prepared in accordance with Indian Accounting Standards (Ind AS) consistently applied.

(c) Along with the audited annual financial statements, the Borrower shall deliver a certificate from the statutory auditors certifying compliance with the Financial Covenants set out in Clause 9.

8.1.2 **Compliance Certificates:**

Deliver to the Lender, along with each set of financial statements, a certificate signed by the Chief Financial Officer or an authorized director of the Borrower certifying that:

1. The financial statements have been prepared in accordance with Ind AS;
2. No Default or Event of Default has occurred and is continuing;
3. The Borrower is in compliance with all covenants under this Agreement;
4. There has been no Material Adverse Change;
5. The representations and warranties set out in Clause 7 are true and correct.

8.1.3 **Books and Records:**

(a) Maintain proper books of account and records in accordance with Applicable Law and generally accepted accounting principles.

(b) Permit the Lender and its authorized representatives to inspect the books of account and records at all reasonable times.

(c) Provide to the Lender such information, documents, and explanations as the Lender may reasonably require.

8.1.4 **Insurance:**

(a) Maintain insurance on all its properties and assets (including the Collateral and hypothecated assets) against all insurable risks for the full insurable value with insurance companies approved by the Lender.

(b) Deliver to the Lender original insurance policies with endorsement in favor of the Lender as loss payee/mortgagee.

(c) Pay all insurance premiums on or before the due dates and deliver premium payment receipts to the Lender.

(d) Renew all insurance policies not less than 15 days before the expiry date.

(e) In the event of any loss or damage, immediately notify the Lender and take all steps necessary to lodge and pursue the insurance claim.

8.1.5 **Compliance with Laws:**

(a) Comply with all Applicable Laws.

(b) Obtain and maintain in full force and effect all licenses, permits, approvals, and authorizations required for the conduct of its business.

(c) Pay all taxes, duties, and other governmental charges on or before the due dates.

(d) File all tax returns and reports required to be filed.

8.1.6 **Maintenance of Corporate Existence:**

(a) Maintain its corporate existence and good standing.

(b) Not enter into any merger, amalgamation, reconstruction, or consolidation without the prior written consent of the Lender.

(c) Not alter its Memorandum or Articles of Association in any manner which could adversely affect the interests of the Lender without the prior written consent of the Lender.

8.1.7 **Maintenance of Assets:**

(a) Maintain all its properties and assets in good condition and repair.

(b) Not sell, transfer, lease, or otherwise dispose of any of its properties or assets (other than in the ordinary course of business) without the prior written consent of the Lender.

(c) Not create any Encumbrance on any of its properties or assets (except Permitted Encumbrances) without the prior written consent of the Lender.

8.1.8 **Utilization of Loan:**

(a) Utilize the Loan solely for the Purpose.

(b) Submit to the Lender, within 30 days of each Drawdown, evidence of utilization of the Drawdown amount for the Purpose, including invoices, bills, payment receipts, and any other documents as may be required by the Lender.

(c) Maintain separate books of account for the capital expenditure financed out of the Loan.

8.1.9 **Security:**

(a) Maintain the Security in full force and effect.

(b) Take all steps necessary for the creation, perfection, and maintenance of the Security.

(c) Not create any Encumbrance on the Collateral or the hypothecated assets (except Permitted Encumbrances) without the prior written consent of the Lender.

(d) Deliver to the Lender all documents and information relating to the Security as may be required by the Lender from time to time.

8.1.10 **Notices:**

Promptly notify the Lender in writing of:

1. Any Default or Event of Default;
2. Any Material Adverse Change;
3. Any litigation, arbitration, or administrative proceeding commenced or threatened against the Borrower which could have a Material Adverse Effect;
4. Any change in the directors or management of the Borrower;
5. Any change in the shareholding or Control of the Borrower;
6. Any proposal to create any Encumbrance on any of the Borrower's assets;
7. Any proposal to incur any additional Indebtedness;
8. Any notice or communication received from any Governmental Authority which could have a Material Adverse Effect;
9. Any event or circumstance which could have a Material Adverse Effect.

8.1.11 **Pari Passu Ranking:**

Ensure that the Borrower's payment obligations under this Agreement rank at least pari passu with all other present and future unsecured and unsubordinated obligations of the Borrower (except for obligations mandatorily preferred by law).

8.1.12 **Access and Inspection:**

Permit the Lender and its authorized representatives to:

1. Visit and inspect any of the properties and assets of the Borrower;
2. Inspect and make copies of the books of account and records of the Borrower;
3. Discuss the affairs, finances, and accounts of the Borrower with the directors, officers, and auditors of the Borrower.

8.1.13 **Further Assurances:**

Execute and deliver to the Lender such further documents and do such further acts and things as the Lender may reasonably require for:

1. Giving effect to the Loan Documents;
2. Creating, perfecting, and enforcing the Security;
3. Protecting the rights and interests of the Lender.

8.2 Negative Covenants

The Borrower shall not, without the prior written consent of the Lender:

8.2.1 **Additional Borrowings:**

(a) Incur or permit to subsist any Indebtedness (other than the Loan) except:

1. Trade credit in the ordinary course of business;
2. Indebtedness existing as at the date of this Agreement and disclosed in Schedule II;
3. Indebtedness approved in writing by the Lender.

(b) Provide any guarantee, indemnity, or surety for the obligations of any other person.

8.2.2 **Encumbrances:**

Create or permit to subsist any Encumbrance on any of its properties or assets (except Permitted Encumbrances).

8.2.3 **Asset Disposal:**

Sell, transfer, lease, or otherwise dispose of any of its properties or assets (other than in the ordinary course of business or assets having a value not exceeding INR 50 Crores in any Financial Year).

8.2.4 **Investments and Loans:**

(a) Make any investment in any other person (by way of share capital, loan, advance, or otherwise) except:

1. Investments in the ordinary course of business;
2. Investments in bank deposits and government securities;
3. Investments approved in writing by the Lender.

(b) Give any loan or advance to any person (other than in the ordinary course of business).

8.2.5 **Change in Business:**

Make any material change in the nature or scope of its business or commence any new line of business.

8.2.6 **Change in Management:**

Effect any change in the key managerial personnel or the composition of the Board of Directors which could have a Material Adverse Effect.

8.2.7 **Change in Control:**

Effect or permit any change in the Control of the Borrower.

8.2.8 **Dividend Distribution:**

Declare or pay any dividend or make any other distribution to its shareholders except:

1. Dividends declared and paid in the ordinary course of business out of distributable profits;
2. Dividends approved in writing by the Lender.

8.2.9 **Merger and Amalgamation:**

Enter into any merger, amalgamation, reconstruction, or consolidation.

8.2.10 **Related Party Transactions:**

Enter into any transaction with any Affiliate or related party except:

1. Transactions in the ordinary course of business on arm's length terms;

2. Transactions approved in writing by the Lender.

8.2.11 **Amendment of Constitutional Documents:**

Alter its Memorandum or Articles of Association in any manner which could adversely affect the interests of the Lender.

8.2.12 **Negative Pledge:**

Enter into any agreement containing any provision which would prohibit or restrict the creation of any Encumbrance on any of its properties or assets in favor of the Lender.

8.2.13 **Voluntary Winding Up:**

Pass any resolution for voluntary winding up or dissolution.

ARTICLE 9: FINANCIAL COVENANTS

The Borrower shall at all times comply with the following financial covenants:

9.1 Debt-to-Equity Ratio

The Borrower shall maintain a Debt-to-Equity Ratio not exceeding **2.0:1** at all times.

Debt-to-Equity Ratio = Total Debt ÷ Total Equity

Where:

1. **Total Debt** means the aggregate of all Indebtedness of the Borrower (including the Loan);
2. **Total Equity** means the Net Worth of the Borrower.

The Debt-to-Equity Ratio shall be calculated on the basis of the audited annual financial statements and unaudited quarterly financial statements of the Borrower.

9.2 Debt Service Coverage Ratio (DSCR)

The Borrower shall maintain a Debt Service Coverage Ratio (DSCR) of not less than **1.5:1** at all times.

DSCR = Earnings Available for Debt Service ÷ Total Debt Service

Where:

1. **Earnings Available for Debt Service** means earnings before interest, tax, depreciation, and amortization (EBITDA) less tax paid;

2. **Total Debt Service** means the aggregate of principal repayments and interest payments on all Indebtedness (including the Loan) during the relevant period.

The DSCR shall be calculated on the basis of the audited annual financial statements of the Borrower.

9.3 Interest Coverage Ratio

The Borrower shall maintain an Interest Coverage Ratio of not less than **2.5:1** at all times.

Interest Coverage Ratio = EBIT ÷ Interest Expense

Where:

1. **EBIT** means earnings before interest and tax;
2. **Interest Expense** means the aggregate of interest payments on all Indebtedness (including the Loan) during the relevant period.

The Interest Coverage Ratio shall be calculated on the basis of the audited annual financial statements and unaudited quarterly financial statements of the Borrower.

9.4 Net Worth

The Borrower shall at all times maintain a minimum Net Worth of **INR 5,000 Crores (Indian Rupees Five Thousand Crores Only)**.

Net Worth means the aggregate of:

1. Paid-up share capital;
2. Reserves and surplus (excluding revaluation reserves); Less: Accumulated losses and intangible assets.

The Net Worth shall be calculated on the basis of the audited annual financial statements and unaudited quarterly financial statements of the Borrower.

9.5 Current Ratio

The Borrower shall maintain a Current Ratio of not less than **1.25:1** at all times.

Current Ratio = Current Assets ÷ Current Liabilities

The Current Ratio shall be calculated on the basis of the audited annual financial statements and unaudited quarterly financial statements of the Borrower.

9.6 Compliance Certificate

Along with each set of financial statements delivered to the Lender, the Borrower shall deliver a certificate from its statutory auditors (in the case of audited financial statements) or from its Chief Financial Officer (in the case of unaudited financial statements) certifying:

1. The calculation of each of the financial ratios set out in this Clause 9;
2. Compliance or non-compliance with each of the Financial Covenants;
3. If there is any non-compliance, the extent and nature of such non-compliance.

9.7 Breach of Financial Covenants

If the Borrower fails to comply with any of the Financial Covenants, such failure shall constitute an Event of Default under Clause 11.2.

However, the Lender may, at its sole discretion, grant the Borrower a period of **90 (ninety) days** to remedy the breach by:

1. Infusion of additional equity capital;
2. Prepayment of other Indebtedness;
3. Such other measures as may be acceptable to the Lender.

If the Borrower fails to remedy the breach within the said period of 90 days, the Lender shall be entitled to exercise all rights and remedies available to it under Clause 12.

ARTICLE 10: DEFAULT

10.1 Events of Default

Each of the following events or circumstances shall constitute an "**Event of Default**":

10.1.1 **Non-Payment:**

The Borrower fails to pay any amount of Principal, interest, or any other amount payable under this Agreement on the due date, and such failure continues for a period of **3 (three) Business Days** after the due date.

10.1.2 **Breach of Covenants:**

(a) The Borrower fails to comply with any of the covenants set out in Clause 8 or Clause 9, and such failure:

1. In the case of a payment obligation, continues for a period of 3 Business Days after the due date;

2. In the case of any other obligation, continues for a period of **30 (thirty) days** after the Borrower receives written notice from the Lender requiring the breach to be remedied.

(b) The Borrower fails to comply with any other term, condition, or provision of this Agreement or any other Loan Document, and such failure continues for a period of 30 days after the Borrower receives written notice from the Lender requiring the breach to be remedied.

10.1.3 **Misrepresentation:**

Any representation or warranty made by the Borrower in this Agreement or any other Loan Document or in any certificate, document, or statement delivered pursuant thereto proves to have been incorrect or misleading in any material respect when made or deemed to have been made.

10.1.4 **Cross-Default:**

(a) The Borrower defaults in the payment of any Indebtedness (other than the Loan) exceeding INR 100 Crores in aggregate, and such default continues beyond any applicable grace period.

(b) Any Indebtedness of the Borrower exceeding INR 100 Crores in aggregate becomes due and payable before its stated maturity by reason of any default or event of default (howsoever described).

(c) Any creditor of the Borrower takes any step to enforce any security over any assets of the Borrower having a value exceeding INR 100 Crores.

10.1.5 **Insolvency:**

(a) The Borrower:

1. Suspends or threatens to suspend payment of its debts or is unable to pay its debts as they fall due;
2. Admits in writing its inability to pay its debts;
3. Commences negotiations with any of its creditors with a view to rescheduling any of its Indebtedness.

(b) A moratorium is declared in respect of any Indebtedness of the Borrower.

(c) Any corporate insolvency resolution process is initiated against the Borrower under the Insolvency and Bankruptcy Code, 2016.

(d) An application or petition is filed for the winding up, dissolution, administration, or reorganization of the Borrower.

(e) A liquidator, receiver, administrative receiver, administrator, or similar officer is appointed in respect of the Borrower or any of its assets.

(f) The Borrower takes any corporate action or any legal proceedings are started or other steps are taken for:

1. Its winding up, dissolution, administration, or reorganization;
2. The appointment of a liquidator, receiver, administrative receiver, administrator, or similar officer in respect of it or any of its assets;
3. Any composition, compromise, assignment, or arrangement with any of its creditors.

10.1.6 **Cessation of Business:**

The Borrower ceases or threatens to cease to carry on all or a substantial part of its business.

10.1.7 **Material Adverse Change:**

Any event or circumstance occurs which, in the reasonable opinion of the Lender, has or is reasonably likely to have a Material Adverse Effect.

10.1.8 **Unlawfulness:**

It becomes unlawful for the Borrower to perform any of its obligations under the Loan Documents, or any of the Loan Documents cease to be legal, valid, binding, and enforceable obligations of the Borrower.

10.1.9 **Invalidity of Security:**

Any Security Document ceases to be in full force and effect, or any Security created thereunder ceases to be a valid, perfected, and enforceable first-ranking security interest, or the Borrower or any other person challenges the validity or enforceability of any Security Document.

10.1.10 **Repudiation:**

The Borrower repudiates or evidences an intention to repudiate any Loan Document.

10.1.11 **Change of Control:**

There is any change in the Control of the Borrower without the prior written consent of the Lender.

10.1.12 **Attachment or Distress:**

Any attachment, distress, or execution is levied or enforced upon or against any assets of the Borrower having a value exceeding INR 100 Crores, and such attachment, distress, or execution is not discharged within **30 (thirty) days**.

10.1.13 **Judgment:**

Any judgment or order for the payment of money exceeding INR 100 Crores is obtained against the Borrower and remains unsatisfied or unstayed for a period of **30 (thirty) days**.

10.1.14 **Revocation of Licenses:**

Any material license, permit, approval, or authorization required for the conduct of the Borrower's business is revoked, suspended, or not renewed, and such revocation, suspension, or non-renewal has or is reasonably likely to have a Material Adverse Effect.

10.1.15 **Environmental Claims:**

Any environmental claim, liability, or investigation is commenced against the Borrower which has or is reasonably likely to have a Material Adverse Effect.

10.1.16 **Guarantor Default:**

If any guarantee provided by any guarantor in connection with the Loan is revoked, repudiated, or challenged, or ceases to be in full force and effect, or any guarantor fails to comply with its obligations under the guarantee.

10.1.17 **Material Litigation:**

Any litigation, arbitration, or administrative proceeding is commenced against the Borrower which, in the reasonable opinion of the Lender, has or is reasonably likely to have a Material Adverse Effect.

10.1.18 **Audit Qualification:**

The statutory auditors of the Borrower qualify their audit report in any manner which, in the reasonable opinion of the Lender, has or is reasonably likely to have a Material Adverse Effect.

10.1.19 **Delisting:**

The shares of the Borrower are delisted from any recognized stock exchange where they are listed.

10.1.20 **Analogous Events:**

Any event occurs which, under the laws of India, has an analogous or equivalent effect to any of the events specified in Clauses 10.1.5 to 10.1.19.

10.2 Waiver of Events of Default

The Lender may, at its sole discretion and on such terms and conditions as it may deem fit, waive any Event of Default or forbear from exercising any of its rights and remedies under this Agreement.

Any such waiver or forbearance shall:

1. Be in writing and signed by the Lender;
2. Be effective only in the specific instance and for the specific purpose for which it is given;
3. Not constitute a waiver of any other Event of Default or any subsequent Event of Default;
4. Not prejudice or affect any other rights or remedies of the Lender.

The Lender's failure or delay in exercising any right or remedy under this Agreement shall not constitute a waiver of such right or remedy.

ARTICLE 11: REMEDIES UPON DEFAULT

11.1 Acceleration

Upon the occurrence of any Event of Default, the Lender may, by written notice to the Borrower:

11.1.1 Declare that:

1. The Principal Outstanding;
2. All accrued and unpaid interest;
3. All other amounts payable under this Agreement;

shall become immediately due and payable without any further notice or demand.

11.1.2 Cancel the undrawn portion of the Loan and terminate the Lender's commitment to make any further Drawdowns.

11.1.3 Declare that the interest rate applicable to the Principal Outstanding shall be increased by **2% (two percent) per annum** with effect from the date of the Event of Default until the date of full repayment.

11.2 Enforcement of Security

Upon the occurrence of any Event of Default, the Lender may:

11.2.1 Enforce any or all of the Security in such manner as the Lender may deem fit, including:

1. Taking possession of the Collateral and the hypothecated assets;
2. Selling, leasing, or otherwise disposing of the Collateral and the hypothecated assets;
3. Appointing a receiver or manager in respect of the Collateral and the hypothecated assets;
4. Exercising any other rights available to a secured creditor under Applicable Law.

11.2.2 Enforce any guarantee provided by any guarantor.

11.2.3 Exercise any other rights and remedies available to the Lender under the Loan Documents or under Applicable Law.

11.3 Set-off

Upon the occurrence of any Event of Default, the Lender may, without notice to the Borrower, set off any amounts standing to the credit of any account of the Borrower with the Lender against any amounts due and payable by the Borrower to the Lender under this Agreement.

11.4 Appointment of Receiver

Upon the occurrence of any Event of Default, the Lender may appoint any person to be a receiver or manager of the Collateral and the hypothecated assets, and may remove any receiver or manager so appointed and appoint another in his place.

Any receiver or manager appointed by the Lender shall:

1. Be deemed to be the agent of the Borrower;
2. Have all powers necessary or incidental to the performance of his duties;
3. Be entitled to such remuneration as may be fixed by the Lender (which shall be payable by the Borrower);

4. Not be liable to the Lender for any loss or damage arising from the performance of his duties except in case of willful default or gross negligence.

11.5 Application of Proceeds

All monies received by the Lender from the enforcement of Security or from any other source shall be applied in the following order of priority:

11.5.1 First, towards all costs, charges, and expenses (including legal fees, receiver's remuneration, and enforcement costs) incurred by the Lender in enforcing its rights and remedies;

11.5.2 Second, towards penal interest (if any);

11.5.3 Third, towards accrued and unpaid interest;

11.5.4 Fourth, towards Principal Outstanding;

11.5.5 Fifth, towards any other amounts due and payable under this Agreement;

11.5.6 Sixth, the surplus (if any) shall be paid to the Borrower or as otherwise required by law.

11.6 Costs and Expenses

All costs, charges, and expenses (including legal fees on a full indemnity basis) incurred by the Lender in:

1. Enforcing its rights and remedies under this Agreement;
2. Preserving or enforcing the Security;
3. Recovering any amounts due under this Agreement;

shall be immediately payable by the Borrower to the Lender on demand and shall bear interest at the rate applicable to the Loan until payment.

11.7 Cumulative Remedies

The rights and remedies of the Lender under this Agreement are cumulative and not exclusive of any rights or remedies provided by law. The Lender may exercise any or all of its rights and remedies concurrently or in any order.

11.8 Continuing Security

The Security shall remain in full force and effect as a continuing security notwithstanding:

1. Any intermediate payment or settlement of account;

2. Any change in the constitution of the Borrower or the Lender;
3. Any other matter or thing whatsoever.

ARTICLE 12: INDEMNITY

12.1 General Indemnity

The Borrower shall indemnify and keep indemnified the Lender and hold the Lender harmless from and against all losses, damages, costs, charges, expenses (including legal fees on a full indemnity basis), claims, demands, actions, and proceedings which the Lender may suffer, sustain, or incur by reason of or arising out of:

12.1.1 Any breach by the Borrower of any term, condition, covenant, representation, or warranty contained in this Agreement or any other Loan Document;

12.1.2 The execution, delivery, or performance of the Loan Documents;

12.1.3 The enforcement or preservation of any rights under the Loan Documents or the enforcement of this indemnity;

12.1.4 Any claim, demand, or action by any third party arising out of or in connection with the Loan or the use of the proceeds of the Loan;

12.1.5 Any environmental claim, liability, or investigation relating to the Borrower or any of its assets;

12.1.6 Any tax liability arising in connection with the Loan or the Loan Documents (except taxes on the Lender's income);

12.1.7 Any misrepresentation, misstatement, or omission in any information, document, certificate, or statement furnished by the Borrower to the Lender;

12.1.8 Any unlawfulness or invalidity of any Loan Document or any Security;

12.1.9 Any failure by the Borrower to comply with any Applicable Law;

12.1.10 Any other matter or thing arising out of or in connection with the Loan or the Loan Documents.

12.2 Survival of Indemnity

The indemnity contained in this Clause 12 shall survive the repayment of the Loan and the termination of this Agreement.

12.3 Tax Indemnity

12.3.1 All payments to be made by the Borrower under this Agreement shall be made free and clear of and without deduction or withholding for or on account of any tax, unless the Borrower is required by law to make such deduction or withholding.

12.3.2 If the Borrower is required by law to make any deduction or withholding for or on account of any tax from any payment under this Agreement:

1. The Borrower shall notify the Lender of such requirement;
2. The Borrower shall make such deduction or withholding and pay the amount deducted or withheld to the appropriate tax authority within the time allowed;
3. The Borrower shall deliver to the Lender evidence of such payment;
4. The amount payable by the Borrower shall be increased to the extent necessary to ensure that, after making such deduction or withholding, the Lender receives a net amount equal to the amount it would have received had no such deduction or withholding been required.

12.3.3 The Borrower shall indemnify the Lender against any losses, damages, costs, or expenses suffered or incurred by the Lender by reason of any failure by the Borrower to make any deduction or withholding or to pay any amount deducted or withheld to the appropriate tax authority.

12.4 Increased Costs

12.4.1 If, by reason of:

1. Any change in any Applicable Law;
2. Any change in the interpretation or application of any Applicable Law by any Governmental Authority;
3. Compliance with any request or requirement of any Governmental Authority;

the cost to the Lender of making or maintaining the Loan is increased or the amount receivable by the Lender under this Agreement is reduced, then the Borrower shall, within **7 (seven) days** of demand by the Lender, pay to the Lender such additional amount as will compensate the Lender for such increased cost or reduced amount.

12.4.2 The Lender shall notify the Borrower of any such increased cost or reduced amount and shall provide reasonable details and evidence thereof. The Lender's determination of the amount payable under this Clause 12.4 shall, in the absence of manifest error, be conclusive and binding on the Borrower.

ARTICLE 13: MISCELLANEOUS PROVISIONS

13.1 Notices

13.1.1 All notices, demands, requests, and other communications under this Agreement shall be in writing and shall be deemed to have been duly given if:

1. Delivered by hand;
2. Sent by registered post or speed post;
3. Sent by courier;
4. Sent by facsimile or email (with confirmation of transmission);

to the addresses set out below or to such other address as may be notified by either party to the other:

For the Borrower:

[Borrower's Name] [Borrower's Address] Attention: [Name and Designation] Email: [Email Address] Facsimile: [Fax Number]

For the Lender:

[Lender's Name] [Lender's Address] Attention: [Name and Designation] Email: [Email Address] Facsimile: [Fax Number]

13.1.2 Any notice shall be deemed to have been received:

1. If delivered by hand, at the time of delivery;
2. If sent by registered post or speed post, **7 (seven) days** after posting;
3. If sent by courier, **3 (three) Business Days** after dispatch;
4. If sent by facsimile or email, at the time of transmission (provided that a confirmation of transmission is received).

13.1.3 If any notice is received after business hours or on a day which is not a Business Day, it shall be deemed to have been received on the next Business Day.

13.2 Amendments and Waivers

13.2.1 No amendment, modification, or waiver of any provision of this Agreement shall be effective unless it is in writing and signed by both parties.

13.2.2 Any waiver granted by the Lender shall be effective only in the specific instance and for the specific purpose for which it is given and shall not constitute a waiver of any other provision or any subsequent breach.

13.2.3 The Lender's failure or delay in exercising any right or remedy shall not constitute a waiver of such right or remedy.

13.3 Assignment and Transfer

13.3.1 The Borrower shall not assign, transfer, or otherwise dispose of any of its rights or obligations under this Agreement without the prior written consent of the Lender.

13.3.2 The Lender may, at any time, assign, transfer, or otherwise dispose of all or any part of its rights and obligations under this Agreement to any person, and the Borrower hereby consents to any such assignment, transfer, or disposal.

13.3.3 Upon any assignment or transfer by the Lender:

1. The assignee or transferee shall have all the rights and remedies of the Lender under this Agreement;
2. The Lender shall be released from its obligations under this Agreement to the extent of the assignment or transfer;
3. The Borrower shall execute such documents and do such acts and things as may be required to give effect to the assignment or transfer.

13.3.4 The Borrower shall pay all costs and expenses (including legal fees and stamp duty) incurred in connection with any assignment or transfer by the Lender.

13.4 Severability

If any provision of this Agreement is or becomes illegal, invalid, or unenforceable under any law, the legality, validity, and enforceability of the remaining provisions shall not be affected or impaired.

13.5 Entire Agreement

13.5.1 This Agreement, together with the other Loan Documents, constitutes the entire agreement between the parties relating to the subject matter hereof and supersedes all prior agreements, understandings, negotiations, and discussions, whether oral or written.

13.5.2 Each party acknowledges that it has not relied on any representation, warranty, or undertaking not expressly set out in this Agreement or the other Loan Documents.

13.6 Counterparts

This Agreement may be executed in any number of counterparts, and all such counterparts shall together constitute one and the same agreement. Any party may enter into this Agreement by executing a counterpart and delivering it to the other party.

13.7 Costs and Expenses

13.7.1 The Borrower shall pay all costs and expenses (including legal fees, stamp duty, registration charges, and out-of-pocket expenses) incurred by the Lender in connection with:

1. The negotiation, preparation, execution, and registration of the Loan Documents;
2. The creation, perfection, and registration of the Security;
3. Any amendment, modification, or waiver of the Loan Documents;
4. The enforcement of the Loan Documents and the Security;
5. Any other matter relating to the Loan.

13.7.2 All such costs and expenses shall be paid by the Borrower within **7 (seven) days** of demand by the Lender.

13.8 Stamp Duty

13.8.1 The Borrower shall pay all stamp duty and registration charges payable in respect of the Loan Documents.

13.8.2 If the Lender pays any stamp duty or registration charges on behalf of the Borrower, the Borrower shall reimburse the Lender within **7 (seven) days** of demand.

13.9 Confidentiality

13.9.1 Each party shall keep confidential all information received from the other party in connection with this Agreement, except to the extent that:

1. The information is or becomes publicly available (other than by breach of this Clause);
2. The information is required to be disclosed by law or by any Governmental Authority or regulatory body;
3. The information is required to be disclosed to the party's professional advisers, auditors, or bankers;
4. The information is required to be disclosed in connection with any legal proceedings;

5. The other party consents in writing to the disclosure.

13.9.2 Notwithstanding Clause 13.9.1, the Lender may disclose information relating to the Borrower and the Loan to:

1. Any actual or potential assignee or transferee of the Lender's rights under this Agreement;
2. Any credit rating agency, credit bureau, or credit information company;
3. Any regulatory authority or government agency;
4. Any person to whom disclosure is required by law or regulation.

13.10 Governing Law and Jurisdiction

13.10.1 This Agreement shall be governed by and construed in accordance with the laws of India.

13.10.2 The courts at **[City Name]** shall have exclusive jurisdiction to settle any disputes arising out of or in connection with this Agreement.

13.10.3 The Borrower hereby irrevocably submits to the jurisdiction of the courts at [City Name] and waives any objection to proceedings in such courts on the grounds of venue or on the grounds that the proceedings have been brought in an inconvenient forum.

13.11 Service of Process

The Borrower irrevocably appoints **[Name and Address]** as its agent for service of process in relation to any proceedings before the courts at [City Name], and agrees that failure by such agent to notify the Borrower of any such service shall not impair the validity of such service.

13.12 Language

This Agreement is executed in the English language. If this Agreement is translated into any other language, the English language version shall prevail.

13.13 Time of Essence

Time shall be of the essence in the performance of the Borrower's obligations under this Agreement.

13.14 Rights and Remedies

The rights and remedies of the Lender under this Agreement are cumulative and not exclusive of any rights or remedies provided by law.

13.15 Third Party Rights

A person who is not a party to this Agreement has no right to enforce any term of this Agreement.

13.16 Further Assurances

Each party shall execute and deliver such further documents and do such further acts and things as may be reasonably required to give full effect to this Agreement.

ARTICLE 14: DEFINITIONS AND INTERPRETATION

14.1 Definitions

In this Agreement, unless the context otherwise requires:

"Affiliate" means, in relation to any person, any other person which directly or indirectly Controls, is Controlled by, or is under common Control with, such person.

"Applicable Law" means all applicable laws, statutes, regulations, rules, ordinances, notifications, circulars, guidelines, directions, and orders of any Governmental Authority in force from time to time.

"Availability Period" means the period commencing from the date of this Agreement and ending on **[Date]** or such extended date as may be agreed by the Lender in writing.

"Business Day" means a day (other than a Saturday, Sunday, or public holiday) on which commercial banks are open for general business in [City Name].

"Collateral" has the meaning given to it in Clause 6.2.1.

"Control" means the power to direct the management and policies of a person, whether through the ownership of voting securities, by contract, or otherwise, and "Controlled" shall be construed accordingly.

"Default" means any event or circumstance which, with the giving of notice, lapse of time, or fulfillment of any other condition, would constitute an Event of Default.

"Drawdown" means a drawing of all or part of the Loan in accordance with Clause 4.

"Drawdown Date" means the date on which a Drawdown is made.

"Drawdown Notice" has the meaning given to it in Clause 4.3.2.

"Encumbrance" means any mortgage, charge, pledge, lien, hypothecation, assignment, security interest, title retention, preferential right, trust arrangement, or any other encumbrance or security interest of any kind.

"Event of Default" has the meaning given to it in Clause 10.1.

"Financial Covenants" means the covenants set out in Clause 9.

"Financial Year" means the period of twelve months ending on 31st March of each year.

"Governmental Authority" means any national, state, or local government, any political subdivision thereof, any court, tribunal, arbitrator, authority, agency, commission, official, or other instrumentality of any such government or political subdivision, or any quasi-governmental or private body exercising any regulatory, taxing, or other governmental or quasi-governmental authority.

"Indebtedness" means any obligation for the payment or repayment of money, whether present or future, actual or contingent, including:

1. Monies borrowed or raised;
2. Liabilities under any acceptance or acceptance credit;
3. Liabilities under any bond, note, debenture, or other debt security;
4. Liabilities under any lease or hire purchase agreement which would be treated as a finance or capital lease under Ind AS;
5. Receivables sold or discounted (other than on a non-recourse basis);
6. Liabilities under any derivative transaction;
7. Guarantees, indemnities, or similar obligations in respect of obligations of any other person.

"Installment" means each quarterly repayment of Principal as set out in the Repayment Schedule.

"Interest Payment Date" has the meaning given to it in Clause 3.3.

"Interest Period" has the meaning given to it in Clause 3.2.

"Interest Rate" has the meaning given to it in Clause 3.1.

"Loan" has the meaning given to it in Clause 2.1.

"Loan Amount" has the meaning given to it in Clause 2.1.

"Loan Documents" means this Agreement and all other documents executed or delivered pursuant to or in connection with this Agreement, including the Security Documents.

"Material Adverse Effect" means any event or circumstance which has or is reasonably likely to have a material adverse effect on:

1. The business, operations, property, assets, liabilities, or financial condition of the Borrower;
2. The ability of the Borrower to perform its obligations under the Loan Documents;
3. The validity or enforceability of any Loan Document;
4. The rights or remedies of the Lender under any Loan Document;
5. The validity, perfection, priority, or enforceability of any Security.

"Moratorium Period" has the meaning given to it in Clause 2.3.

"Permitted Encumbrances" means:

1. Liens for taxes, assessments, or other governmental charges not yet due and payable;
2. Liens of carriers, warehousemen, mechanics, and materialmen incurred in the ordinary course of business for sums not yet due and payable;
3. Encumbrances disclosed to and approved by the Lender in writing.

"Principal" or **"Principal Outstanding"** means the aggregate amount of all Drawdowns made by the Lender and remaining outstanding from time to time.

"Purpose" has the meaning given to it in Clause 2.2.

"Repayment Date" has the meaning given to it in Clause 5.1.

"Repayment Schedule" means the schedule of repayment of Principal set out in Schedule I.

"Security" means all security created or to be created by the Borrower in favor of the Lender pursuant to the Security Documents.

"Security Documents" means all documents creating or evidencing any Security, including mortgage deeds, hypothecation deeds, charge documents, and any other documents as may be required by the Lender.

14.2 Interpretation

14.2.1 In this Agreement, unless the context otherwise requires:

1. References to Clauses, Sub-clauses, and Schedules are to clauses, sub-clauses, and schedules of this Agreement;
2. References to this Agreement include its Schedules;
3. References to a person include an individual, company, corporation, partnership, joint venture, trust, association, organization, or other entity;
4. References to a party include its successors and permitted assigns;
5. References to any statute or statutory provision include any amendment, modification, re-enactment, or extension thereof and any subordinate legislation;
6. Words importing the singular include the plural and vice versa;
7. Words importing a gender include every gender;
8. Headings are for convenience only and do not affect the interpretation of this Agreement;
9. References to "including" shall be construed as "including without limitation";
10. References to "writing" or "written" include email and facsimile transmission.

14.2.2 In the event of any conflict or inconsistency between:

1. The provisions of this Agreement and the Schedules, the provisions of this Agreement shall prevail;
2. The provisions of this Agreement and any other Loan Document, the provisions of this Agreement shall prevail.

SCHEDULES

SCHEDULE I: REPAYMENT SCHEDULE

[To be inserted based on the actual Drawdown and Moratorium Period]

The Borrower shall repay the Principal Outstanding in 24 equal quarterly installments as follows:

Installment No.	Repayment Date	Amount (INR)
1	[Date]	[Amount]
2	[Date]	[Amount]

... ...

24 [Date] [Amount]

SCHEDULE II: EXISTING INDEBTEDNESS

[To be filled in with details of all existing Indebtedness of the Borrower as at the date of this Agreement]

Lender/Creditor Type of Facility Amount (INR) Maturity Date Security

[Name] [Type] [Amount] [Date] [Details]

... ...

SCHEDULE III: DESCRIPTION OF COLLATERAL

[To be filled in with complete details of the commercial real estate property being mortgaged]

Property Details:

1. Address: [Complete Address]
2. Survey/Plot No.: [Number]
3. Area: [Area in sq. ft./sq. mtrs.]
4. Boundaries:
5. North: [Details]
6. South: [Details]
7. East: [Details]
8. West: [Details]
9. Title Deed Details: [Details]

1. Current Use: [Details]
2. Valuation: INR [Amount] as per valuation report dated [Date]
3. Encumbrances (if any): [Details]

SCHEDULE IV: DRAWDOWN REQUEST FORMAT

To: [Lender's Name] [Lender's Address]

Date: [Date]

Subject: Drawdown Request under Term Loan Agreement dated [Date]

Dear Sir/Madam,

We refer to the Term Loan Agreement dated **[Date]** (the "**Agreement**") entered into between **[Borrower's Name]** (the "**Borrower**") and **[Lender's Name]** (the "**Lender**").

Pursuant to Clause 4 of the Agreement, we hereby request a Drawdown of the Loan as follows:

1. **Drawdown Amount:** INR [Amount in figures] (Indian Rupees [Amount in words] Only)
2. **Proposed Drawdown Date:** [Date]
3. **Account Details for Credit:**
4. Account Name: [Name]
5. Account Number: [Number]
6. Bank Name: [Name]
7. Branch: [Branch]
8. IFSC Code: [Code]
9. **Purpose:** [Brief description of purpose in accordance with Clause 2.2]

We hereby confirm and represent that:

(a) All representations and warranties set out in Clause 7 of the Agreement remain true, accurate, and not misleading as at the date hereof;

(b) No Default or Event of Default has occurred and is continuing or would result from the proposed Drawdown;

(c) All conditions precedent set out in Clause 4.2 of the Agreement have been satisfied or waived by the Lender;

(d) The Borrower is in compliance with all covenants set out in the Agreement;

(e) There has been no Material Adverse Change since the date of the Agreement.

We request you to process this Drawdown Request and credit the Drawdown Amount to the above account on the proposed Drawdown Date.

For and on behalf of [Borrower's Name]

Authorized Signatory

Name: [Name] Designation: [Designation] Date: [Date]

SCHEDULE V: COMPLIANCE CERTIFICATE FORMAT

To: [Lender's Name] [Lender's Address]

Date: [Date]

Subject: Compliance Certificate for the Quarter/Year ended [Date]

Dear Sir/Madam,

We refer to the Term Loan Agreement dated **[Date]** (the "**Agreement**") entered into between **[Borrower's Name]** (the "**Borrower**") and **[Lender's Name]** (the "**Lender**").

Pursuant to Clause 9.6 of the Agreement, we hereby certify as follows in respect of the [quarter/year] ended **[Date]**:

1. FINANCIAL RATIOS

Financial Covenant	Required Level	Actual Level	Compliance (Yes/No)
Debt Service Coverage Ratio	Not less than 1.5:1	[Ratio]	[Yes/No]
Debt to Equity Ratio	Not more than 2:1	[Ratio]	[Yes/No]
Total Debt to EBITDA	Not more than 3.5:1	[Ratio]	[Yes/No]
Net Worth	Not less than INR 5,000 Crores	INR [Amount]	[Yes/No]
Current Ratio	Not less than 1.25:1	[Ratio]	[Yes/No]

2. CALCULATION OF FINANCIAL RATIOS

2.1 Debt Service Coverage Ratio (DSCR)

EBITDA: INR [Amount] Less: Taxes paid: INR [Amount] Add: Depreciation and Amortization: INR [Amount] **Cash Profit Available for Debt Service:** INR [Amount]

Principal repayments during the period: INR [Amount] Interest payments during the period: INR [Amount] **Total Debt Service:** INR [Amount]

DSCR = Cash Profit Available for Debt Service ÷ Total Debt Service = [Ratio]

2.2 Debt to Equity Ratio

Total Debt: INR [Amount] Total Equity: INR [Amount]

Debt to Equity Ratio = Total Debt ÷ Total Equity = [Ratio]

2.3 Total Debt to EBITDA Ratio

Total Debt: INR [Amount] EBITDA: INR [Amount]

Total Debt to EBITDA = Total Debt ÷ EBITDA = [Ratio]

2.4 Net Worth

Paid-up Share Capital: INR [Amount] Reserves and Surplus (excluding revaluation reserves): INR [Amount] Less: Accumulated Losses: INR [Amount] Less: Intangible Assets: INR [Amount]

Net Worth: INR [Amount]

2.5 Current Ratio

Current Assets: INR [Amount] Current Liabilities: INR [Amount]

Current Ratio = Current Assets ÷ Current Liabilities = [Ratio]

3. COMPLIANCE WITH COVENANTS

We hereby certify that:

(a) The Borrower has complied with all Financial Covenants set out in Clause 9 of the Agreement [OR] The Borrower has not complied with the following Financial Covenants: [specify details of non-compliance]

(b) The Borrower has complied with all other covenants set out in the Agreement [OR] The Borrower has not complied with the following covenants: [specify details of non-compliance]

(c) No Default or Event of Default has occurred and is continuing [OR] The following Default/Event of Default has occurred: [specify details]

(d) All representations and warranties set out in the Agreement remain true, accurate, and not misleading.

4. REMEDIAL MEASURES (if applicable)

[If there is any non-compliance, specify the remedial measures being taken by the Borrower and the expected timeline for rectification]

This certificate is issued pursuant to the requirements of the Agreement and is based on the [audited/unaudited] financial statements of the Borrower for the [quarter/year] ended [Date].

For and on behalf of [Borrower's Name]

Chief Financial Officer / Authorized Signatory

Name: [Name] Designation: [Designation] Date: [Date]

[In case of audited financial statements, to be countersigned by Statutory Auditors]

Statutory Auditors

Firm Name: [Name] Firm Registration Number: [Number] Date: [Date]

SCHEDULE VI: FORM OF LEGAL OPINION

[To be provided by the Borrower's legal counsel covering the matters specified in Clause 4.2.7]

IN WITNESS WHEREOF, the parties hereto have executed this Agreement on the day, month, and year first above written.

SIGNED AND DELIVERED for and on behalf of [BORROWER'S NAME]

By: _____ Name: [Name] Designation: [Designation] Date: [Date]

In the presence of:

Witness 1: Name: _____ Address: _____
Signature: _____

Witness 2: Name: _____ Address: _____
Signature: _____

SIGNED AND DELIVERED for and on behalf of [LENDER'S NAME]

By: _____ Name: [Name] Designation: [Designation] Date: [Date]

In the presence of:

Witness 1: Name: _____ Address: _____
Signature: _____

Witness 2: Name: _____ Address: _____
Signature: _____

ANNEXURES

ANNEXURE A: BOARD RESOLUTION OF BORROWER

[BORROWER'S NAME]

CERTIFIED TRUE COPY OF THE RESOLUTION PASSED AT THE MEETING OF THE BOARD OF DIRECTORS HELD ON [DATE]

"RESOLVED THAT pursuant to the provisions of Section 179 and other applicable provisions, if any, of the Companies Act, 2013, and the Articles of Association of the Company, consent of the Board be and is hereby accorded to borrow a sum not exceeding **INR [Amount]** (Indian Rupees [Amount in words] Only) from **[Lender's Name]** on such terms and conditions as may be agreed upon between the Company and the Lender.

RESOLVED FURTHER THAT the Board hereby approves the execution of a Term Loan Agreement and all other related documents, deeds, and writings with [Lender's Name] for availing the said loan facility.

RESOLVED FURTHER THAT the Board hereby approves the creation of security in favor of [Lender's Name] by way of: (a) Mortgage of the Company's commercial real estate property located at [Address]; (b) Hypothecation of the Company's movable assets including plant and machinery, equipment, vehicles, and other movable assets; (c) Such other security as may be required by the Lender.

RESOLVED FURTHER THAT Mr./Ms. [Name], [Designation] of the Company, be and is hereby authorized to do all acts, deeds, and things as may be necessary or expedient to give effect to the above resolutions, including but not limited to: (a) Negotiating and finalizing the terms and conditions of the loan; (b) Executing the Term Loan Agreement and all other loan documents; (c) Creating and perfecting the security in favor of the Lender; (d) Filing necessary forms and documents with the Registrar of Companies and other authorities; (e) Making Drawdown requests and complying with all conditions precedent and subsequent; (f) Providing certificates, declarations, and undertakings as may be required; (g) Generally doing all such acts, deeds, and things as may be necessary in connection with the loan.

RESOLVED FURTHER THAT a copy of the above resolutions duly certified by a Director of the Company be furnished to [Lender's Name] and the same shall be accepted and acted upon by the Lender as sufficient evidence of the authority of the Company and the authorized signatory."

CERTIFIED TRUE COPY

Director Name: [Name] DIN: [Number] Date: [Date]

ANNEXURE B: BOARD RESOLUTION OF LENDER

[LENDER'S NAME]

CERTIFIED TRUE COPY OF THE RESOLUTION PASSED AT THE MEETING OF THE BOARD OF DIRECTORS HELD ON [DATE]

"RESOLVED THAT pursuant to the provisions of Section 179 and other applicable provisions, if any, of the Companies Act, 2013, and the Articles of Association of the Company, consent of the Board be and is hereby accorded to grant a term loan of **INR [Amount]** (Indian Rupees [Amount in words] Only) to **[Borrower's Name]** on the terms and conditions set out in the Term Loan Agreement.

RESOLVED FURTHER THAT the Board hereby approves the execution of the Term Loan Agreement and all other related documents with [Borrower's Name].

RESOLVED FURTHER THAT Mr./Ms. [Name], [Designation] of the Company, be and is hereby authorized to execute the Term Loan Agreement and all other loan documents on behalf of the Company and to do all acts, deeds, and things as may be necessary or expedient to give effect to the above resolutions.

RESOLVED FURTHER THAT a copy of the above resolutions duly certified by a Director of the Company be furnished to [Borrower's Name] and the same shall be accepted and acted upon by the Borrower as sufficient evidence of the authority of the Company and the authorized signatory."

CERTIFIED TRUE COPY

Director Name: [Name] DIN: [Number] Date: [Date]

ANNEXURE C: SPECIMEN SIGNATURES

BORROWER'S AUTHORIZED SIGNATORIES:

Name: [Name] Designation: [Designation] Specimen Signature: _____

Name: [Name] Designation: [Designation] Specimen Signature: _____

LENDER'S AUTHORIZED SIGNATORIES:

Name: [Name] Designation: [Designation] Specimen Signature: _____

Name: [Name] Designation: [Designation] Specimen Signature: _____

ANNEXURE D: LIST OF DOCUMENTS TO BE SUBMITTED

DOCUMENTS TO BE SUBMITTED BY THE BORROWER AS CONDITIONS PRECEDENT:

1. **Corporate Documents:**
2. Certificate of Incorporation
3. Memorandum and Articles of Association
4. Board Resolution authorizing the borrowing and execution of loan documents
5. Specimen signatures of authorized signatories
6. List of Directors with their DINs
7. Shareholding pattern
8. Certificate of Good Standing (if applicable)
9. **Financial Documents:**
10. Audited financial statements for the last 3 financial years
11. Unaudited financial statements for the current financial year (if available)
12. Projected financial statements for the next 3 years
13. Details of existing indebtedness
14. Sanction letters and loan agreements for existing facilities
15. Bank statements for the last 12 months
16. Income tax returns for the last 3 years
17. GST registration certificate and returns for the last 12 months
18. **Property Documents (for Collateral):**
19. Title deeds and chain of title documents
20. Latest tax paid receipts
21. Encumbrance certificate for the last 30 years
22. Approved building plans and completion certificate
23. Occupancy certificate
24. Property tax receipts
25. Valuation report from approved valuer

26. Land use certificate
27. No Objection Certificates from relevant authorities
28. Insurance policy covering the property
29. **Legal Documents:**
30. Legal opinion from the Borrower's counsel
31. Power of Attorney (if any documents are to be executed by attorney)
32. Consent letters from existing lenders (if required)
33. NOC from existing mortgagees (if applicable)
34. **Compliance Documents:**
35. PAN card of the company
36. GST registration certificate
37. Shops and Establishment registration
38. Pollution Control Board clearances (if applicable)
39. Environmental clearances (if applicable)
40. All material licenses, permits, and approvals required for business operations
41. **Other Documents:**
42. Details of insurance policies (including key man insurance, if any)
43. Details of litigation, if any
44. Undertaking regarding use of loan proceeds
45. KYC documents of Directors and promoters
46. Details of related party transactions
47. Any other documents as may be required by the Lender

ANNEXURE E: INSURANCE REQUIREMENTS

The Borrower shall obtain and maintain the following insurance policies:

1. **Property Insurance:**
2. Coverage: Fire, earthquake, flood, storm, and other natural calamities

3. Sum Insured: Not less than the full replacement value of the Collateral
4. Loss Payee: [Lender's Name] as first loss payee
5. **Plant and Machinery Insurance:**
6. Coverage: Fire, theft, damage, and all risks
7. Sum Insured: Not less than the full replacement value
8. Loss Payee: [Lender's Name] as first loss payee
9. **Business Interruption Insurance:**
10. Coverage: Loss of profits and increased cost of working
11. Sum Insured: As approved by the Lender
12. Indemnity Period: Not less than 12 months
13. **Public Liability Insurance:**
14. Coverage: Third party liability
15. Sum Insured: As per statutory requirements or as approved by the Lender
16. **Directors and Officers Liability Insurance:**
17. Coverage: Liability of directors and officers
18. Sum Insured: As approved by the Lender
19. **Key Man Insurance (if required):**
20. Coverage: Life of key management personnel
21. Sum Insured: As approved by the Lender
22. Beneficiary: [Lender's Name]

General Requirements for All Insurance Policies:

1. All policies shall be issued by insurance companies approved by the Lender
2. All policies shall be in the joint names of the Borrower and the Lender
3. The Lender shall be named as loss payee/beneficiary
4. All policies shall contain a clause that they cannot be cancelled or modified without 30 days' prior written notice to the Lender

5. The Borrower shall pay all premiums on or before the due date
6. The Borrower shall provide certified copies of all insurance policies and premium payment receipts to the Lender
7. The Borrower shall renew all policies before expiry and provide renewal certificates to the Lender
8. In case of any claim, the Borrower shall notify the Lender immediately and the Lender shall have the right to participate in the settlement of the claim

ANNEXURE F: REPORTING REQUIREMENTS

The Borrower shall submit the following reports and information to the Lender:

1. MONTHLY REPORTS (within 15 days of month end):

1. Management accounts (Profit & Loss, Balance Sheet, Cash Flow)
2. Sales and production reports
3. Receivables and payables aging
4. Bank reconciliation statements
5. Details of any new borrowings or credit facilities availed
6. Details of any material litigation commenced or threatened
7. Any other information as may be required by the Lender

2. QUARTERLY REPORTS (within 30 days of quarter end):

1. Unaudited financial statements (Profit & Loss, Balance Sheet, Cash Flow)
2. Compliance Certificate as per Schedule V
3. Calculation of financial ratios
4. Details of capital expenditure incurred
5. Details of any material contracts entered into
6. Updated list of all indebtedness
7. Stock statements
8. Book debt statements

3. ANNUAL REPORTS (within 90 days of financial year end):

1. Audited financial statements
2. Annual Report
3. Auditor's Report
4. Compliance Certificate as per Schedule V
5. Income tax returns filed
6. Details of related party transactions
7. Details of any changes in shareholding or management
8. Updated list of all assets and liabilities
9. Insurance policy renewal certificates

4. AD HOC REPORTS (as and when required):

1. Any information or documents requested by the Lender from time to time
2. Immediate notification of any Default or Event of Default
3. Immediate notification of any Material Adverse Change
4. Immediate notification of any litigation involving amounts exceeding INR 50 Crores
5. Immediate notification of any change in credit rating
6. Immediate notification of any regulatory action or investigation

5. MEETINGS:

1. The Borrower shall meet with the Lender at least once every quarter to discuss business performance, financial position, and compliance with loan covenants
2. The Borrower shall provide the Lender access to its books, records, and facilities for inspection and audit

ANNEXURE G: EVENTS REQUIRING LENDER'S PRIOR CONSENT

The Borrower shall obtain the prior written consent of the Lender before undertaking any of the following actions:

1. Any change in the shareholding pattern resulting in change of Control
2. Any merger, amalgamation, demerger, or corporate restructuring
3. Sale, transfer, or disposal of any material assets (exceeding INR 100 Crores)

4. Creation of any Encumbrance on any assets (except Permitted Encumbrances)
5. Incurring any additional Indebtedness exceeding INR 200 Crores
6. Making any investments or loans exceeding INR 100 Crores
7. Declaring or paying any dividends (except as permitted under Clause 8.6)
8. Entering into any material contracts or commitments exceeding INR 100 Crores
9. Any change in the nature of business
10. Voluntary winding up or liquidation
11. Any settlement or compromise with creditors
12. Any material change in accounting policies
13. Any related party transactions exceeding INR 50 Crores
14. Entering into any joint venture or partnership
15. Opening or closing of any material business unit or branch
16. Any capital expenditure exceeding INR 200 Crores in a financial year
17. Appointment or removal of statutory auditors
18. Any change in key management personnel (CEO, CFO, COO)
19. Entering into any derivative transactions exceeding INR 50 Crores
20. Any other matter which may have a Material Adverse Effect

ADDITIONAL CLAUSES

ARTICLE 15: SPECIAL PROVISIONS

15.1 Prepayment

15.1.1 **Voluntary Prepayment:**

The Borrower may prepay the whole or any part of the Principal Outstanding (in minimum amounts of INR 10 Crores or multiples thereof) by giving the Lender not less than **30 (thirty) days'** prior written notice.

Any voluntary prepayment shall be subject to:

1. Payment of all accrued and unpaid interest up to the date of prepayment;

2. Payment of a prepayment premium of **2% (two percent)** on the amount prepaid if the prepayment is made within the first 3 years from the date of first Drawdown;
3. Payment of a prepayment premium of **1% (one percent)** on the amount prepaid if the prepayment is made after 3 years but before 5 years from the date of first Drawdown;
4. No prepayment premium if the prepayment is made after 5 years from the date of first Drawdown.

15.1.2 **Mandatory Prepayment:**

The Borrower shall prepay the Loan (in whole or in part) upon the occurrence of any of the following events:

(a) **Sale of Assets:** If the Borrower sells, transfers, or disposes of any material assets (other than in the ordinary course of business), the Borrower shall prepay an amount equal to **100% (one hundred percent)** of the net sale proceeds within **7 (seven) days** of receipt of such proceeds.

(b) **Insurance Proceeds:** If the Borrower receives any insurance proceeds in respect of the Collateral or any other material assets exceeding INR 50 Crores, the Borrower shall prepay an amount equal to **100% (one hundred percent)** of such insurance proceeds within **7 (seven) days** of receipt, unless the Borrower undertakes to reinstate or replace the damaged assets within **180 (one hundred and eighty) days** to the satisfaction of the Lender.

(c) **Change of Control:** If there is any change in the Control of the Borrower, the Borrower shall prepay the entire Principal Outstanding together with all accrued interest and other amounts within **30 (thirty) days** of such change of Control.

(d) **Equity Infusion:** If the Borrower raises any equity capital (other than in the ordinary course of business), the Borrower shall prepay an amount equal to **50% (fifty percent)** of the net proceeds raised within **30 (thirty) days** of receipt of such proceeds.

(e) **Excess Cash Flow:** At the end of each Financial Year, if the Borrower has Excess Cash Flow, the Borrower shall prepay an amount equal to **50% (fifty percent)** of such Excess Cash Flow within **90 (ninety) days** of the end of the Financial Year.

"Excess Cash Flow" means:

1. EBITDA
2. Less: Taxes paid

3. Less: Capital expenditure
4. Less: Debt service (principal and interest) paid during the year
5. Less: Working capital increase
6. Less: Dividends paid (if permitted)

15.1.3 **Application of Prepayment:**

Any prepayment (whether voluntary or mandatory) shall be applied:

1. First, towards any accrued and unpaid interest;
2. Second, towards the Principal Outstanding in inverse order of maturity (i.e., last installment first);
3. Third, towards any other amounts due under this Agreement.

No prepayment premium shall be payable on any mandatory prepayment.

15.2 Substitution of Collateral

15.2.1 The Borrower may request the Lender to substitute the Collateral with alternative collateral of equal or higher value, subject to the following conditions:

(a) The Borrower shall give the Lender not less than **60 (sixty) days'** prior written notice of the proposed substitution;

(b) The proposed substitute collateral shall be acceptable to the Lender in its sole discretion;

(c) The value of the substitute collateral (as determined by a valuer approved by the Lender) shall be at least **120% (one hundred and twenty percent)** of the Principal Outstanding;

(d) The Borrower shall create a first-ranking mortgage over the substitute collateral in favor of the Lender;

(e) The Borrower shall obtain all necessary approvals and clearances for the substitution;

(f) The Borrower shall bear all costs, charges, and expenses (including legal fees, stamp duty, and registration charges) in connection with the substitution;

(g) The Lender shall be satisfied that the substitution will not adversely affect its security or rights under the Loan Documents.

15.2.2 Upon satisfaction of the above conditions and execution of all necessary documents, the Lender shall release the existing Collateral and the substitute collateral shall become the Collateral for the purposes of this Agreement.

15.3 Review of Terms

15.3.1 The Lender may, at any time, review the terms and conditions of this Agreement, including the Interest Rate, security requirements, and covenants, if:

(a) There is any Material Adverse Change in the financial condition or business of the Borrower;

(b) The Borrower's credit rating is downgraded by any credit rating agency;

(c) There is any material change in market conditions or regulatory requirements;

(d) The Borrower fails to comply with any covenant under this Agreement;

(e) Any representation or warranty proves to be incorrect or misleading.

15.3.2 If, upon such review, the Lender determines that the terms and conditions need to be modified, the Lender shall notify the Borrower of the proposed modifications. The Borrower shall have **30 (thirty) days** to accept the proposed modifications. If the Borrower does not accept the proposed modifications within the said period, the Lender may, at its option:

(a) Continue the Loan on the existing terms and conditions; or

(b) Declare an Event of Default and exercise its rights under Clause 11.

15.4 Lender's Rights of Inspection

15.4.1 The Lender and its authorized representatives shall have the right, at any time during business hours and upon reasonable notice to the Borrower, to:

(a) Inspect and audit the books, records, and accounts of the Borrower;

(b) Inspect the Collateral and all other assets of the Borrower;

(c) Meet with the management, auditors, and advisers of the Borrower;

(d) Obtain copies of any documents, records, or information relating to the Borrower's business, operations, or financial condition.

15.4.2 The Borrower shall provide all reasonable assistance and cooperation to the Lender in connection with any such inspection or audit.

15.4.3 All costs and expenses incurred by the Lender in connection with any inspection or audit shall be borne by the Borrower if:

(a) Any Default or Event of Default has occurred and is continuing; or

(b) The inspection or audit reveals any material non-compliance with the terms of this Agreement.

15.5 Subordination

15.5.1 The Borrower shall procure that all Indebtedness owed by the Borrower to its promoters, directors, group companies, and related parties (collectively, "**Subordinated Debt**") shall be subordinated to the Loan.

15.5.2 The Borrower shall not make any payment in respect of Subordinated Debt without the prior written consent of the Lender, except:

(a) Regular interest payments in the ordinary course of business (provided no Default or Event of Default has occurred and is continuing); or

(b) Repayment of Subordinated Debt from the proceeds of fresh equity infusion.

15.5.3 The Borrower shall obtain subordination agreements from all holders of Subordinated Debt in a form acceptable to the Lender.

15.6 Escrow Account

15.6.1 The Borrower shall open and maintain an escrow account (the "**Escrow Account**") with a bank approved by the Lender.

15.6.2 The Borrower shall ensure that:

(a) All receivables and collections of the Borrower are deposited into the Escrow Account;

(b) The Lender has a first-ranking charge over the Escrow Account;

(c) All payments of principal, interest, and other amounts due under this Agreement are made from the Escrow Account;

(d) The Borrower maintains a minimum balance of **INR [Amount]** in the Escrow Account at all times.

15.6.3 The Lender shall have the right to issue instructions to the bank maintaining the Escrow Account for appropriation of funds towards payment of amounts due under this Agreement.

15.7 Material Contracts

15.7.1 The Borrower shall provide the Lender with copies of all material contracts entered into by the Borrower (including but not limited to supply contracts, purchase contracts, service contracts, and lease agreements exceeding INR 50 Crores).

15.7.2 The Borrower shall not terminate, amend, or waive any material contract without the prior written consent of the Lender if such termination, amendment, or waiver would have or is reasonably likely to have a Material Adverse Effect.

15.8 Environmental Compliance

15.8.1 The Borrower shall:

(a) Comply with all applicable environmental laws, regulations, and standards;

(b) Obtain and maintain all environmental clearances, permits, and approvals required for its business operations;

(c) Implement appropriate environmental management systems and practices;

(d) Not engage in any activity that may cause environmental pollution or degradation;

(e) Promptly notify the Lender of any environmental claims, liabilities, or investigations.

15.8.2 The Borrower shall indemnify the Lender against any losses, damages, costs, or expenses arising from any breach of environmental laws or any environmental claims or liabilities.

15.9 Key Man Insurance

15.9.1 The Borrower shall obtain and maintain key man insurance policies on the lives of the following key management personnel:

(a) [Name], [Designation] (b) [Name], [Designation] (c) [Name], [Designation]

15.9.2 Each key man insurance policy shall:

(a) Be for a sum insured of not less than **INR [Amount]**;

(b) Name the Lender as the beneficiary or loss payee;

(c) Be maintained throughout the tenure of the Loan;

(d) Be renewed before expiry and renewal certificates provided to the Lender.

15.10 Sanctions and Anti-Corruption

15.10.1 The Borrower represents and warrants that:

(a) Neither the Borrower nor any of its directors, officers, employees, or agents is a person that is, or is owned or controlled by persons that are:

1. The subject of any sanctions administered or enforced by any Governmental Authority; or
2. Located, organized, or resident in a country or territory that is the subject of sanctions.

(b) The Borrower has not and will not use the proceeds of the Loan:

1. For any purpose that would violate any applicable anti-corruption laws, anti-money laundering laws, or sanctions; or
2. To fund any activities or business with any person that is the subject of sanctions.

15.10.2 The Borrower shall:

(a) Comply with all applicable anti-corruption laws, anti-money laundering laws, and sanctions;

(b) Maintain appropriate policies and procedures to ensure such compliance;

(c) Promptly notify the Lender if it becomes aware of any breach or potential breach of this Clause 15.10.

15.10.3 Any breach of this Clause 15.10 shall constitute an Event of Default.

ARTICLE 16: MISCELLANEOUS

16.1 Relationship of Parties

Nothing in this Agreement shall be construed as creating a partnership, joint venture, agency, or fiduciary relationship between the parties. The relationship between the Borrower and the Lender is solely that of borrower and lender.

16.2 No Waiver of Rights

No failure or delay by the Lender in exercising any right, power, or remedy under this Agreement shall operate as a waiver thereof, nor shall any single or partial exercise of any right, power, or remedy preclude any other or further exercise thereof or the exercise of any other right, power, or remedy.

16.3 Survival

All representations, warranties, covenants, and indemnities contained in this Agreement shall survive the execution and delivery of this Agreement and shall continue in full force

and effect until the Loan is repaid in full and all obligations under this Agreement are satisfied.

16.4 Publicity

The Borrower shall not make any public announcement or disclosure regarding this Agreement or the Loan without the prior written consent of the Lender, except as required by law or regulatory requirements.

16.5 Data Protection

Each party shall comply with all applicable data protection and privacy laws in relation to any personal data processed in connection with this Agreement.

16.6 Dispute Resolution

16.6.1 **Amicable Settlement:**

In the event of any dispute, controversy, or claim arising out of or relating to this Agreement or the breach , termination, or invalidity thereof (a "**Dispute**"), the parties shall first attempt to resolve the Dispute amicably through good faith negotiations between senior management representatives of both parties.

16.6.2 **Mediation:**

If the Dispute is not resolved through negotiations within **30 (thirty) days** of the date on which either party notifies the other of the Dispute, the parties shall attempt to resolve the Dispute through mediation in accordance with the Mediation and Conciliation Rules of the Indian Council of Arbitration. The mediation shall be conducted in **[City]** and the language of mediation shall be English.

16.6.3 **Arbitration:**

If the Dispute is not resolved through mediation within **60 (sixty) days** of commencement of mediation, or if either party refuses to participate in mediation, the Dispute shall be finally resolved by arbitration in accordance with the Arbitration and Conciliation Act, 1996, as amended from time to time.

The arbitration shall be conducted as follows:

(a) **Number of Arbitrators:** The arbitral tribunal shall consist of **three (3) arbitrators**.

(b) **Appointment of Arbitrators:**

1. The Borrower shall appoint one arbitrator;

2. The Lender shall appoint one arbitrator;
3. The two party-appointed arbitrators shall jointly appoint the third arbitrator who shall act as the presiding arbitrator;
4. If either party fails to appoint its arbitrator within **30 (thirty) days** of receipt of notice of arbitration, or if the two party-appointed arbitrators fail to agree on the third arbitrator within **30 (thirty) days** of their appointment, such arbitrator(s) shall be appointed by the **Indian Council of Arbitration** upon the request of either party.

(c) **Seat and Venue:** The seat and venue of arbitration shall be **[City]**.

(d) **Language:** The language of arbitration shall be **English**.

(e) **Applicable Law:** The arbitral tribunal shall apply the substantive law of India.

(f) **Arbitral Award:** The arbitral award shall be final and binding on both parties and may be enforced in any court of competent jurisdiction.

(g) **Costs:** The costs of arbitration (including the fees and expenses of the arbitrators) shall be borne by the parties as determined by the arbitral tribunal in its award.

16.6.4 **Interim Relief:**

Notwithstanding the above arbitration provisions, either party may seek interim or injunctive relief from any court of competent jurisdiction to preserve the status quo or prevent irreparable harm pending the resolution of the Dispute through arbitration.

16.6.5 **Continuation of Obligations:**

Pending the resolution of any Dispute, the parties shall continue to perform their respective obligations under this Agreement, except for the specific obligation that is the subject of the Dispute.

16.7 Jurisdiction

Subject to Clause 16.6, the courts at **[City]** shall have exclusive jurisdiction to entertain any proceedings in relation to this Agreement.

16.8 Language

This Agreement is executed in the English language. If this Agreement is translated into any other language, the English language version shall prevail in the event of any conflict or inconsistency.

16.9 Counterparts

This Agreement may be executed in any number of counterparts, each of which when executed and delivered shall constitute an original, but all the counterparts together shall constitute one and the same instrument.

16.10 Electronic Execution

The parties agree that this Agreement and any amendments or supplements hereto may be executed by electronic means, including by exchange of scanned copies via email. Electronic signatures shall have the same legal effect as original signatures.

16.11 Time of Essence

Time shall be of the essence with respect to all obligations of the Borrower under this Agreement.

16.12 Business Days

If any payment or action is required to be made or taken on a day which is not a Business Day, such payment shall be made or action taken on the immediately following Business Day.

16.13 Currency

All amounts payable under this Agreement shall be paid in Indian Rupees. If any amount is expressed in or calculated by reference to any other currency, such amount shall be converted into Indian Rupees at the exchange rate prevailing on the date of payment as determined by the Lender.

16.14 Set-Off

The Lender may, at any time and without notice to the Borrower, set off any amounts owed by the Borrower to the Lender under this Agreement or any other agreement against any amounts owed by the Lender to the Borrower.

16.15 Cumulative Rights

The rights and remedies of the Lender under this Agreement are cumulative and not exclusive of any rights or remedies provided by law or equity.

16.16 Waiver of Immunity

The Borrower irrevocably waives, to the fullest extent permitted by law, any immunity from jurisdiction, attachment (whether before or after judgment), execution, or other legal process to which it may be entitled in any proceedings arising out of or relating to this Agreement.

16.17 Third Party Rights

A person who is not a party to this Agreement has no right under the Contracts (Rights of Third Parties) Act or otherwise to enforce any term of this Agreement.

16.18 Entire Agreement

This Agreement, together with the Schedules and Annexures hereto, constitutes the entire agreement between the parties with respect to the subject matter hereof and supersedes all prior agreements, understandings, negotiations, and discussions, whether oral or written, between the parties.

16.19 Headings

The headings in this Agreement are for convenience only and shall not affect the interpretation of this Agreement.

16.20 Schedules and Annexures

The Schedules and Annexures form an integral part of this Agreement and shall have the same force and effect as if set out in the body of this Agreement.

ARTICLE 17: DEFINITIONS AND INTERPRETATION

17.1 Definitions

In this Agreement, unless the context otherwise requires:

"Affiliate" means, in relation to any person, any other person that directly or indirectly Controls, is Controlled by, or is under common Control with such person.

"Applicable Law" means all applicable laws, statutes, regulations, rules, ordinances, judgments, orders, decrees, permits, licenses, authorizations, and approvals of any Governmental Authority, including but not limited to the Companies Act, 2013, the Reserve Bank of India Act, 1934, the Foreign Exchange Management Act, 1999, the Income Tax Act, 1961, the Goods and Services Tax Act, 2017, and all applicable environmental, labor, and safety laws.

"Business Day" means a day (other than a Saturday, Sunday, or public holiday) on which banks are open for general business in **[City]**.

"Control" means the power to direct the management and policies of a person, whether through ownership of voting securities, by contract, or otherwise. The terms "Controlled by" and "under common Control with" shall be construed accordingly.

"Default" means any event or circumstance which, with the giving of notice, lapse of time, or both, would constitute an Event of Default.

"Default Interest Rate" has the meaning given in Clause 3.3.

"Drawdown" means each advance of the Loan made by the Lender to the Borrower pursuant to Clause 4.

"Drawdown Date" means the date on which a Drawdown is made.

"EBITDA" means earnings before interest, tax, depreciation, and amortization, calculated in accordance with Indian GAAP and as certified by the Borrower's auditors.

"Encumbrance" means any mortgage, charge, pledge, lien, hypothecation, assignment, security interest, title retention, preferential right, trust arrangement, or any other security interest or encumbrance of any kind.

"Event of Default" has the meaning given in Clause 11.1.

"Financial Covenants" means the covenants set out in Clause 9.

"Financial Year" means the period of twelve months ending on 31st March of each year.

"Governmental Authority" means any national, state, or local government, any political subdivision thereof, any court, tribunal, arbitrator, authority, agency, commission, official, or other instrumentality of any such government or political subdivision, or any quasi-governmental or private body exercising any regulatory, taxing, or other governmental or quasi-governmental authority.

"Indian GAAP" means generally accepted accounting principles in India as prescribed under the Companies Act, 2013, and as amended from time to time.

"Indebtedness" means, in respect of any person, any indebtedness for or in respect of: (a) Money borrowed; (b) Any amount raised by acceptance under any acceptance credit facility; (c) Any amount raised pursuant to any note purchase facility or the issue of bonds, notes, debentures, loan stock, or any similar instrument; (d) The amount of any liability in respect of any lease or hire purchase contract which would, in accordance with Indian GAAP, be treated as a finance or capital lease; (e) Receivables sold or discounted (other than any receivables to the extent they are sold on a non-recourse basis); (f) Any counter-indemnity obligation in respect of a guarantee, indemnity, bond, standby or documentary letter of credit or any other instrument issued by a bank or financial institution; (g) Any amount raised under any other transaction having the commercial effect of a borrowing; (h) Any derivative transaction entered into in connection with protection against or benefit from fluctuation in any rate or price; (i) Any amount of any liability under an advance or

deferred purchase agreement if the primary reason behind entering into such agreement is to raise finance; (j) Any guarantee, indemnity, or similar assurance against financial loss of any person in respect of any of the items referred to in (a) to (i) above.

"Interest Payment Date" has the meaning given in Clause 3.2.

"Interest Period" means each period of **three (3) months** commencing on a Drawdown Date or an Interest Payment Date and ending on the day immediately preceding the next Interest Payment Date.

"Interest Rate" has the meaning given in Clause 3.1.

"Lender" means **[Lender's Name]**, a company incorporated under the Companies Act, 2013, having its registered office at **[Address]**.

"Loan" means the term loan facility of up to **INR [Amount]** (Indian Rupees [Amount in words] Only) made available by the Lender to the Borrower pursuant to this Agreement.

"Loan Documents" means this Agreement and all other documents executed or to be executed in connection with this Agreement, including but not limited to security documents, guarantee agreements, subordination agreements, and any amendments or supplements thereto.

"Material Adverse Change" or **"Material Adverse Effect"** means any event, circumstance, or condition that has or is reasonably likely to have a material adverse effect on: (a) The business, operations, assets, properties, condition (financial or otherwise), or prospects of the Borrower; (b) The ability of the Borrower to perform its obligations under the Loan Documents; (c) The validity or enforceability of any Loan Document or the rights or remedies of the Lender thereunder; (d) The value or enforceability of the Collateral or the Lender's security interest therein.

"Permitted Encumbrances" means: (a) Liens for taxes, assessments, or other governmental charges not yet due and payable or being contested in good faith by appropriate proceedings; (b) Liens of carriers, warehousemen, mechanics, and materialmen incurred in the ordinary course of business for sums not yet due and payable; (c) Encumbrances in favor of the Lender; (d) Any other Encumbrances approved in writing by the Lender.

"Principal Outstanding" means, at any time, the aggregate principal amount of the Loan advanced by the Lender and remaining outstanding at such time.

"Quarter" means each period of three months ending on 30th June, 30th September, 31st December, and 31st March of each year.

"Related Party" means, in relation to the Borrower: (a) Any Affiliate of the Borrower; (b) Any director, officer, or key management personnel of the Borrower or any Affiliate; (c) Any relative of any director or key management personnel; (d) Any firm, company, or other entity in which any director or key management personnel has substantial interest or control.

"Repayment Date" has the meaning given in Clause 5.1.

"Security" or **"Collateral"** means the security created or to be created by the Borrower in favor of the Lender pursuant to Clause 6 and as more particularly described in Schedule II.

"Subsidiary" means, in relation to any person, any company or other entity: (a) Which is controlled, directly or indirectly, by such person; (b) More than half of whose issued share capital or voting rights is beneficially owned, directly or indirectly, by such person; or (c) Which is a subsidiary of another subsidiary of such person.

"Tenor" means the period from the date of first Drawdown to the Final Repayment Date, being **[Number] years**.

17.2 Interpretation

In this Agreement, unless the context otherwise requires:

17.2.1 References to Clauses, Schedules, and Annexures are references to clauses of, and schedules and annexures to, this Agreement.

17.2.2 References to this Agreement include its Schedules and Annexures.

17.2.3 References to a "person" include any individual, company, corporation, firm, partnership, joint venture, association, trust, unincorporated organization, Governmental Authority, or other entity.

17.2.4 References to a "company" include any company, corporation, or other body corporate, wherever incorporated.

17.2.5 References to any statute, enactment, or statutory provision include: (a) A reference to that statute, enactment, or statutory provision as amended, consolidated, or re-enacted from time to time; and (b) A reference to any subordinate legislation made under the relevant statute, enactment, or statutory provision.

17.2.6 Words importing the singular include the plural and vice versa.

17.2.7 Words importing a gender include every gender.

17.2.8 The words "include" and "including" shall be deemed to be followed by the phrase "without limitation".

17.2.9 References to "writing" or "written" include any method of reproducing words in a legible and non-transitory form, including email.

17.2.10 References to "INR" or "Rupees" are to the lawful currency of the Republic of India.

17.2.11 Any phrase introduced by the terms "including", "include", "in particular", or any similar expression shall be construed as illustrative and shall not limit the sense of the words preceding those terms.

17.2.12 References to times of day are to Indian Standard Time unless otherwise specified.

17.2.13 In the event of any conflict or inconsistency between: (a) The provisions of the main body of this Agreement and the Schedules or Annexures, the provisions of the main body shall prevail; and (b) Any terms implied by law and the express terms of this Agreement, the express terms shall prevail.

ARTICLE 18: SPECIAL CONDITIONS

18.1 Green Loan Provisions (if applicable)

[Note: Include this Article only if the Loan is intended to be a "Green Loan" for financing environmentally sustainable projects]

18.1.1 **Use of Proceeds:**

The Borrower confirms that the proceeds of the Loan shall be used exclusively for the following eligible green projects: (a) [Specify green project 1] (b) [Specify green project 2] (c) [Specify green project 3]

18.1.2 **Reporting:**

In addition to the reporting requirements set out in Annexure F, the Borrower shall provide the Lender with:

(a) **Annual Impact Report:** Within **120 (one hundred and twenty) days** of the end of each Financial Year, an impact report prepared by an independent environmental consultant, detailing:

1. The environmental impact of the projects financed by the Loan;
2. Quantitative metrics such as greenhouse gas emissions avoided, renewable energy generated, energy efficiency improvements, etc.;

3. Confirmation that the Loan proceeds have been used in accordance with Clause 18.1.1.

(b) **Quarterly Progress Report:** Within **30 (thirty) days** of the end of each Quarter, a progress report on the implementation of the green projects.

18.1.3 **External Review:**

The Borrower shall obtain and maintain throughout the tenure of the Loan: (a) A second party opinion from a recognized environmental consultant confirming that the projects financed by the Loan meet recognized green loan principles; (b) An annual verification report from an independent auditor confirming the allocation of Loan proceeds to eligible green projects.

18.1.4 **Green Loan Pricing:**

If the Borrower achieves the following sustainability performance targets as verified by the independent auditor: (a) [Specify target 1, e.g., reduction in carbon emissions by X%] (b) [Specify target 2, e.g., renewable energy generation of Y MW] (c) [Specify target 3, e.g., energy efficiency improvement of Z%]

Then the Interest Rate shall be reduced by **[X] basis points** for the following Interest Period.

If the Borrower fails to achieve the sustainability performance targets, the Interest Rate shall be increased by **[Y] basis points** for the following Interest Period.

18.1.5 **Misuse of Proceeds:**

If the Lender determines (based on the reports and verifications provided by the Borrower or otherwise) that any part of the Loan proceeds has been used for purposes other than the eligible green projects specified in Clause 18.1.1, such misuse shall constitute an Event of Default and the Lender may exercise its rights under Clause 11.

18.2 COVID-19 Related Provisions (if applicable)

[Note: Include this Article only if the parties wish to address COVID-19 related contingencies]

18.2.1 **Force Majeure:**

Notwithstanding any other provision of this Agreement, if either party is prevented from or delayed in performing any of its obligations under this Agreement (other than payment obligations) due to the COVID-19 pandemic or any government-imposed lockdown, restrictions, or other measures to control the spread of COVID-19 (a "**COVID-19 Event**"), such party shall not be deemed to be in breach of this Agreement, provided that:

(a) The affected party notifies the other party in writing of the COVID-19 Event as soon as reasonably practicable; (b) The affected party uses all reasonable endeavors to mitigate the effects of the COVID-19 Event; (c) The affected party resumes performance of its obligations as soon as reasonably practicable after the COVID-19 Event ceases.

18.2.2 **Moratorium:**

If the Reserve Bank of India or any other Governmental Authority announces any moratorium or relief measures in relation to loan repayments due to the COVID-19 pandemic, the parties shall discuss in good faith the applicability of such measures to this Agreement and may agree to amend the repayment schedule or other terms accordingly.

18.2.3 **Financial Covenant Relief:**

If the Borrower's financial performance is materially adversely affected by a COVID-19 Event, the Lender may, at its sole discretion, grant temporary relief from compliance with the Financial Covenants for a specified period, subject to such conditions as the Lender may determine.

18.3 Sustainability Linked Loan Provisions (if applicable)

[Note: Include this Article only if the Loan is intended to be a "Sustainability Linked Loan" with pricing linked to the Borrower's overall sustainability performance]

18.3.1 **Sustainability Performance Targets (SPTs):**

The Borrower commits to achieving the following Sustainability Performance Targets:

SPT	Description	Baseline	Target for Year 1	Target for Year 2	Target for Year 3	Target for Year 4	Target for Year 5
SPT 1	[e.g., Reduction in Scope 1 & 2 GHG emissions (tCO2e)]	[Baseline value]	[Target]	[Target]	[Target]	[Target]	[Target]
SPT 2	[e.g., Increase in renewable energy consumption (%)]	[Baseline value]	[Target]	[Target]	[Target]	[Target]	[Target]
SPT 3	[e.g., Reduction in water consumption (cubic meters)]	[Baseline value]	[Target]	[Target]	[Target]	[Target]	[Target]
SPT 4	[e.g., Increase in waste recycling rate (%)]	[Baseline value]	[Target]	[Target]	[Target]	[Target]	[Target]

18.3.2 **Verification:**

The Borrower shall obtain an independent verification report from a recognized sustainability consultant or auditor within **120 (one hundred and twenty) days** of the end of each Financial Year, confirming the Borrower's performance against the SPTs.

18.3.3 **Pricing Adjustment:**

(a) If the Borrower achieves **all** the SPTs for a given year as verified by the independent verifier, the Interest Rate shall be reduced by **[X] basis points** for the following year.

(b) If the Borrower achieves **at least [Y]** of the SPTs for a given year as verified by the independent verifier, the Interest Rate shall remain unchanged for the following year.

(c) If the Borrower achieves **less than [Y]** of the SPTs for a given year as verified by the independent verifier, the Interest Rate shall be increased by **[Z] basis points** for the following year.

(d) Any pricing adjustment shall take effect from the first Interest Payment Date following the receipt of the verification report by the Lender.

18.3.4 **Reporting:**

In addition to the reporting requirements set out in Annexure F, the Borrower shall provide the Lender with an annual sustainability report within **120 (one hundred and twenty) days** of the end of each Financial Year, detailing: (a) Performance against each SPT; (b) Methodology and assumptions used in calculating performance; (c) Any material changes in the Borrower's sustainability strategy or practices; (d) Any material sustainability-related risks or opportunities.

18.3.5 **Recalibration of SPTs:**

If there is any material change in the Borrower's business, operations, or regulatory environment that makes the SPTs no longer appropriate or achievable, the parties may agree in good faith to recalibrate the SPTs, subject to: (a) The recalibrated SPTs being at least as ambitious as the original SPTs; (b) The recalibration being supported by an independent opinion from a recognized sustainability consultant; (c) The recalibration being documented in a written amendment to this Agreement.

EXECUTION CLAUSE

IN WITNESS WHEREOF, the parties hereto have caused this Agreement to be executed by their duly authorized representatives as of the day, month, and year first above written.

SIGNED AND DELIVERED by the within named BORROWER

[BORROWER'S NAME]

(CIN: [CIN Number])

By: _____ Name: [Name of Authorized Signatory] Designation: [Designation] Date: [Date] Place: [Place]

In the presence of:

Witness 1: Name: _____ Address: _____

Occupation: _____ Signature: _____ Date: [Date]

Witness 2: Name: _____ Address: _____

Occupation: _____ Signature: _____ Date: [Date]

SIGNED AND DELIVERED by the within named LENDER

[LENDER'S NAME]

(CIN: [CIN Number])

By: _____ Name: [Name of Authorized Signatory] Designation: [Designation] Date: [Date] Place: [Place]

In the presence of:

Witness 1: Name: _____ Address: _____

Occupation: _____ Signature: _____ Date: [Date]

Witness 2: Name: _____ Address: _____

Occupation: _____ Signature: _____ Date: [Date]

NOTARIZATION

[If required by applicable law or the parties' preference]

NOTARIZED before me on this [Date] at [Place].

Notary Public Name: [Name] Registration Number: [Number] Seal:

STAMP DUTY ENDORSEMENT

[To be completed after payment of stamp duty]

This document has been duly stamped with stamp duty of **INR [Amount]** (Indian Rupees [Amount in words] Only) as per the provisions of the Indian Stamp Act, 1899, and the applicable State Stamp Act.

Stamp Duty paid vide:

1. Challan Number: [Number]
2. Date: [Date]
3. Amount: INR [Amount]

OR

Stamp Duty paid through:

1. E-Stamping
2. Certificate Number: [Number]
3. Date: [Date]
4. Amount: INR [Amount]

REGISTRATION ENDORSEMENT

[To be completed after registration, if required]

This document has been presented for registration at the office of the [Sub-Registrar/Registrar] at [Place] on [Date] and has been registered as Document Number [Number] in Book Number [Number], Volume [Number], Pages [Numbers].

Sub-Registrar/Registrar Date: [Date] Seal:

ACKNOWLEDGMENT OF RECEIPT

BORROWER'S ACKNOWLEDGMENT:

Received a true copy of the Term Loan Agreement dated [Date] duly executed by both parties.

Authorized Signatory of Borrower Name: [Name] Date: [Date]

LENDER'S ACKNOWLEDGMENT:

Received a true copy of the Term Loan Agreement dated [Date] duly executed by both parties.

Authorized Signatory of Lender Name: [Name] Date: [Date]

END OF TERM LOAN AGREEMENT

DISCLAIMER:

This is a template Term Loan Agreement and is provided for informational purposes only. This template should be customized to reflect the specific terms agreed upon between the parties and should be reviewed by legal counsel before execution. The parties should ensure compliance with all applicable laws, regulations, and internal policies. Neither the drafter of this template nor any associated entity assumes any liability for the use of this template or any consequences arising therefrom.

DOCUMENT CONTROL:

1. **Document Title:** Term Loan Agreement
2. **Version:** 1.0
3. **Date:** [Date]
4. **Prepared by:** [Name/Entity]
5. **Reviewed by:** [Name/Entity]
6. **Approved by:** [Name/Entity]